COMPLETE LEARNING SESSION

Banking Structure, NBFCs and Financial Regulation - Complete Learning Session

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH

CONCEPT
Define precisely

ARGUMENT
Build the case

CRITIQUE
Test the limits

APPLICATION
Write the answer

Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Banking Structure, NBFCs and Financial Regulation - Complete Learning Session

Subject: Economy | **UPSC:** Prelims and GS-III | **Current-source cutoff:** 9 September 2026

SOURCE, STATUS AND DATE CONTROL

Source layer	Material checked	What it controls
Canonical Economy Markdown	`upsc-ai-kit\knowledge\Economy\basic\05_Banking-Structure-NBFCs-and-Financial-Regulation.md`; complete Topic 5 package owner	Core taxonomy, bank-NBFC distinctions, inclusion and routed PYQ ownership
Optional Advanced Markdown	`upsc-ai-kit\knowledge\Economy\advanced\05_Banking-Structure-NBFCs-and-Financial-Regulation.md`	Systemic-risk and regulatory-design enrichment, kept separate
OCR-searchable books	Ramesh Singh, *Indian Economy*, local PDF pp. 541-575 and 603-610; *Economic Survey 2025-26*, chapter 3, local PDF pp. 130-152	Banking evolution, DFIs, bank/NBFC structure and financial-intermediation context
Statutes	Reserve Bank of India Act, 1934, especially sections 42 and 45-I/45-IA; Banking Regulation Act, 1949, especially sections 5(b), 20, 22, 35A, 45 and 56; DICGC Act, 1961; RRB Act, 1976; NABARD Act, 1981; SIDBI Act, 1989; NaBFID Act, 2021	Legal identity, licensing, connected lending, reconstruction, deposit insurance and institutional mandates
Current RBI framework	RBI Commercial Banks Governance Directions, 2025; Small Finance Banks Licensing Guidelines dated 28 November 2025; Payments Banks Miscellaneous Directions, updated 1 April 2026; SFB PSL circular dated 20 June 2025; NBFC FAQ updated 29 April 2026; NBFC Scale Based Regulation Directions updated 1 July 2026; PCA circular dated 2 November 2021, effective 1 January 2022; Digital Lending Directions dated 8 May 2025	Current categories, thresholds, governance, supervision and conduct
Official institutions	DICGC FAQ and RBI press release dated 4 February 2020; NABARD, SIDBI and NaBFID official institutional pages	Depositor protection and bounded DFI map
Local official papers	UPSC 2024 and 2026 Prelims GS-I papers; final 2024 Set-A key; provisional 2026 key	Exact routed questions and key discipline

Current-source cutoff: 9 September 2026. Every current threshold or framework below carries its operative or update date. Stable statutory definitions are identified as such; they are not presented as changing policy rates.

OFFICIAL LINKS CHECKED

- RBI NBFC FAQ, updated 29 April 2026
- RBI NBFC Scale Based Regulation Directions, updated 1 July 2026
- RBI Second Amendment to SBR, 24 June 2026
- RBI Payments Banks Directions, updated 1 April 2026
- RBI Small Finance Banks Licensing Guidelines, 28 November 2025
- RBI SFB PSL revision, 20 June 2025
- RBI PCA framework, 2 November 2021
- RBI Digital Lending Directions, 8 May 2025
- RBI Commercial Banks Governance Directions, 28 November 2025

- RBI NBFC-P2P Directions, 28 November 2025
- RBI NBFC-AA Directions, 28 November 2025
- RBI CIC Directions, updated 10 March 2026
- DICGC FAQ and insurance-limit press release, 4 February 2020
- NABARD official profile, SIDBI official profile, NaBFID statutory history

LEARNING CONTRACT

Control	Rule used here
Visual first	Every Core session opens with a topic-specific classification, balance-sheet, process or regulatory map.
Legal precision	Ownership, management, licensing, regulation, supervision, resolution and insurance are separate functions.
Current-status discipline	Category thresholds and live frameworks carry dates; proposals are not stated as final rules.
Answer method	Every session demonstrates a unique Claim -> named evidence -> analysis -> qualification paragraph.
Topic boundary	NPA recognition, Basel capital and IBC depth stay in Topic 6; fintech-market depth stays in Topic 24.

BASIC LEARNING SESSION

SESSION 1 - Banking function, balance sheet and transformation

VISUAL FIRST

```
HOUSEHOLDS / FIRMS save money
        |
        v
BANK LIABILITIES: deposits + borrowings + capital
        |
        +--> LIQUID ASSETS: cash, RBI balances, inter-bank balances
        +--> EARNING ASSETS: loans, advances, investments
        |
        v
MATURITY + LIQUIDITY + RISK TRANSFORMATION
short/withdrawable funding -> longer and riskier credit
        |
        v
PAYMENTS + CREDIT ALLOCATION + MONEY CREATION
        |
        +--> constrained by capital, liquidity, risk, demand and regulation
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Banking under section 5(b) of the Banking Regulation Act, 1949 is accepting public deposits for lending or investment, repayable on demand or otherwise and withdrawable by cheque, draft, order or otherwise. A bank balance sheet records what the bank owns or is owed as assets and what it owes, chiefly deposits, as liabilities.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> A bank is not merely a loan shop: it combines a withdrawable liability, a payment promise and leveraged maturity transformation, which is why its failure can damage both depositors and the wider economy.

MUST-WRITE KEYWORDS

- **section 5(b)**
- **deposits are liabilities**

- **loans are assets**
- **maturity transformation**
- **liquidity transformation**
- **credit risk**
- **payment system**

CORE EXPLANATION

Deposits fund only part of a bank; capital and market borrowings also matter. On the asset side, cash and balances support settlement, investments provide liquidity or returns, and loans create the principal credit exposure. By granting a loan and crediting a deposit, a bank can create deposit money, but not without limit: capital adequacy, reserve and liquidity requirements, funding costs, borrower demand, collateral, underwriting and expected losses constrain expansion. Maturity transformation is useful because savers value liquidity while borrowers need longer horizons. It is fragile because many depositors can demand funds before long loans mature.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The social value and regulatory fragility of banking arise from the same balance-sheet transformation.
- **Named evidence:** Banking Regulation Act section 5(b) joins public deposits, lending or investment and withdrawal services in one legal definition.
- **Analysis:** Because deposits are repayable while loans are illiquid and risky, confidence shocks can force fire sales or disrupt payments even when the loan book has long-run value.
- **Qualification:** Credit creation is endogenous but not unlimited, and converting a deposit into cash changes the composition of money held rather than automatically creating new credit.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Banking Regulation Act section 5(b) joins public deposits, lending or investment and withdrawal services in one legal definition.
Prelims trap	Deposits are bank liabilities; loans and investments are bank assets. A cash withdrawal is not fresh lending.
Mains use	Begin a banking-reform answer with the liability-payment-credit nexus before discussing ownership or technology.

MINI RECAP

- Banking joins deposits, payments and credit.
- Transformation raises output but creates runs and rollover risk.
- Capital, liquidity and underwriting constrain credit creation.

SESSION 2 - Scheduled and non-scheduled banks under the RBI Act

VISUAL FIRST

```
BANK CARRYING ON BANKING BUSINESS IN INDIA
        |
        +--> included in RBI Act, 1934 SECOND SCHEDULE
        |       = SCHEDULED BANK
        |       -> section 42 reserve framework
        |       -> statutory eligibility and depositor-interest test
        |
        +--> not included in Second Schedule
                = NON-SCHEDULED BANK
                -> still needs the applicable banking licence
                -> non-scheduled does NOT mean unregulated
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

A scheduled bank is a bank included in the Second Schedule to the RBI Act, 1934. Section 42(6) authorises inclusion when statutory conditions are satisfied, including at least Rs 5 lakh of paid-up capital and reserves and conduct not detrimental to depositors; a non-scheduled bank is simply a bank outside that Schedule.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Scheduled status is a statutory classification under the RBI Act, not a synonym for commercial ownership, universal banking powers or a sovereign guarantee.

MUST-WRITE KEYWORDS

- **RBI Act, 1934**
- **Second Schedule**
- **section 42(6)**
- **Rs 5 lakh statutory floor**
- **depositor interest**
- **non-scheduled bank**

CORE EXPLANATION

The Second Schedule can contain commercial and co-operative banks. Therefore scheduled versus non-scheduled is one axis, while public/private/foreign ownership and commercial/co-operative form are different axes. Inclusion connects the bank to the section 42 reserve framework and ordinary central-bank facilities subject to applicable rules. Exclusion or absence from the Schedule does not legalise unlicensed banking, nor does inclusion immunise a bank from distress or regulatory action.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Classification by schedule must be kept separate from classification by ownership or business model.
- **Named evidence:** RBI Act section 42 and the RBI Commercial Banks Governance Directions, 2025 define a scheduled bank by Second Schedule inclusion.
- **Analysis:** This prevents the common error of treating every commercial bank as automatically scheduled or every scheduled bank as government-owned.
- **Qualification:** Access to a particular RBI facility remains instrument- and counterparty-specific; scheduled status alone does not promise rescue.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI Act section 42 and the RBI Commercial Banks Governance Directions, 2025 define a scheduled bank by Second Schedule inclusion.
Prelims trap	Scheduled status does not mean nationalised, failure-proof or entitled to every central-bank window.
Mains use	Use two axes in comparison tables: legal schedule status and institutional ownership/form.

MINI RECAP

- Second Schedule inclusion defines scheduled status.
- Section 42(6) states statutory eligibility conditions.
- Non-scheduled is not the same as unlicensed or unregulated.

SESSION 3 - Commercial banks: public, private and foreign

VISUAL FIRST

```
COMMERCIAL BANKS
   |
   +-- PUBLIC SECTOR -> ownership/statute + public appointments
   |
   +-- PRIVATE SECTOR -> private ownership + RBI licence/governance rules
   |
   +-- FOREIGN BANK
          +-- branch model -> parent-bank presence
          +-- wholly owned subsidiary -> locally incorporated bank

COMMON LAYER: RBI licensing + prudential/conduct supervision
SEPARATE LAYERS: owner, board/management, regulator
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Commercial-bank labels describe ownership and legal organisation, while the banking licence and prudential perimeter describe permission and regulation. Public-sector ownership, private ownership and foreign parentage do not replace RBI's regulatory role.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Indian banking governance is triangular: owners supply capital and exercise ownership rights, boards and management run the institution, and RBI licenses and supervises the banking function.

MUST-WRITE KEYWORDS

- **public sector bank**
- **private sector bank**
- **foreign bank**
- **branch**
- **wholly owned subsidiary**
- **ownership**
- **management**
- **regulation**

CORE EXPLANATION

Public sector banks operate under the SBI Act or bank-nationalisation statutes and government ownership arrangements. Private banks are banking companies under company and banking law. Foreign banks may operate through branches or a locally incorporated wholly owned subsidiary, subject to model-specific capital and governance conditions. The RBI Commercial Banks Governance Directions dated 28 November 2025 expressly apply different chapters to PSBs, private banks and foreign banks. Ownership can influence appointments and objectives, but does not perform supervision; management grants and monitors loans but does not set the statutory perimeter.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Governance reform fails when ownership, board responsibility and regulatory oversight are collapsed into one idea.
- **Named evidence:** The RBI Commercial Banks Governance Directions, 2025 separately define and govern PSBs, private-sector banks and foreign banks.

- **Analysis:** Separate treatment allows common prudential outcomes while respecting different appointment, capital and accountability structures.
- **Qualification:** Public ownership can support policy reach but is not proof of prudent lending; private ownership can sharpen incentives but is not self-regulation.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The RBI Commercial Banks Governance Directions, 2025 separately define and govern PSBs, private-sector banks and foreign banks.
Prelims trap	RBI does not own all regulated banks, and the Government does not manage every PSB credit decision.
Mains use	Frame reform under owner accountability, board competence, management incentives and independent supervision.

MINI RECAP

- Ownership answers who controls capital.
- Management answers who runs the bank.
- Regulation answers who sets and enforces prudential rules.

SESSION 4 - Regional Rural Banks and the rural credit chain

VISUAL FIRST

```
RRB ACT, 1976
        |
OWNERSHIP: Union 50% | sponsor bank 35% | State 15%
        |
local rural area + sponsored banking capacity
        |
deposits + credit to rural / priority clients
        |
RBI banking regulation + NABARD development/supervisory role
        |
LIMIT: outreach must still meet viability and credit-quality tests
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

A Regional Rural Bank is a statutory rural bank created under the RRB Act, 1976, with shareholding of 50 per cent Union Government, 35 per cent sponsor bank and 15 per cent concerned State Government.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> RRBs blend local mandate with sponsor-bank capacity, making them a hybrid of developmental purpose, commercial intermediation and multi-owner accountability.

MUST-WRITE KEYWORDS

- **RRB Act, 1976**
- **50:35:15**
- **sponsor bank**
- **rural credit**
- **NABARD**
- **scheduled commercial bank**

CORE EXPLANATION

RRBs mobilise deposits and lend, so they are banks rather than NBFCs. Their geographical and clientele focus supports agriculture, rural enterprise and weaker sections. RBI regulates banking functions, while NABARD has a development, refinance and supervisory relationship with rural credit institutions. The three-way ownership formula can combine central resources, sponsor expertise and state knowledge, but it also creates coordination and accountability problems if each principal assumes another will bear losses.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** RRBs show that inclusion institutions require both local information and bank-grade discipline.
- **Named evidence:** The RRB Act, 1976 establishes the 50:35:15 Union-sponsor-State ownership structure, while NABARD's statutory rural-credit mandate supports the institutional chain.
- **Analysis:** Sponsor support can transfer technology and risk systems; local presence can reduce information gaps and transaction costs.
- **Qualification:** Directed geography or ownership does not guarantee repayment capacity, product suitability or operational efficiency.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The RRB Act, 1976 establishes the 50:35:15 Union-sponsor-State ownership structure, while NABARD's statutory rural-credit mandate supports the institutional chain.
Prelims trap	An RRB is not a co-operative society or an NBFC, and the sponsor bank is not its sole owner.
Mains use	Use RRBs to connect financial inclusion with institutional design, local knowledge and shared accountability.

MINI RECAP

- RRBs are statutory banks.
- Ownership is Union 50, sponsor 35, State 15.
- NABARD's role does not replace RBI banking regulation.

SESSION 5 - Co-operative banks and the post-2020 dual-control settlement

VISUAL FIRST

```
CO-OPERATIVE BANK
       |
       +--> CO-OPERATIVE IDENTITY
       |      registration, membership, elections, bye-laws
       |      State law or Multi-State Co-operative Societies law
       |
       +--> BANKING FUNCTION
              licence, prudential norms, supervision, reconstruction
              RBI under Banking Regulation Act as applied by section 56
       |
BANKING REGULATION (AMENDMENT) ACT, 2020
       -> enlarged RBI governance/capital/reconstruction tools
       -> did NOT erase the co-operative-law layer
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Co-operative banks are member-owned co-operative entities that conduct banking. Their institutional form remains governed by the relevant co-operative law, while their banking business is regulated by RBI under the Banking Regulation Act, 1949 as applied through section 56.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> The 2020 amendment strengthened RBI's bank-like powers over co-operative banks, but the accurate description is recalibrated dual control, not the disappearance of co-operative registration and democratic governance law.

MUST-WRITE KEYWORDS

- **section 56**
- **dual control**
- **UCB**
- **State Co-operative Bank**
- **District Central Co-operative Bank**
- **2020 amendment**
- **RCS/CRCS**

CORE EXPLANATION

Urban co-operative banks and rural co-operative banks differ in structure and field. Historically, the registrar controlled incorporation, elections and broad management while RBI controlled banking. The Banking Regulation (Amendment) Act, 2020 extended important banking-law provisions on governance, capital raising, reconstruction and related matters. It took effect for primary urban co-operative banks on 29 June 2020 and for State and District Central Co-operative Banks on 1 April 2021. Yet the Registrar of Co-operative Societies or Central Registrar still performs co-operative-law functions; even RBI's 30 October 2023 name-change process requires sequential RBI no-objection and registrar action.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Co-operative-bank reform narrowed supervisory gaps without converting co-operatives into ordinary companies.
- **Named evidence:** The 2020 amendment expanded Banking Regulation Act application, while RBI's 30 October 2023 circular still preserves a role for the State or Central Registrar in name and bye-law changes.
- **Analysis:** RBI gains stronger tools over the deposit-taking institution, while member ownership and incorporation remain in the co-operative-law domain.
- **Qualification:** Do not describe every co-operative society as a bank: primary agricultural credit societies do not become DICGC-insured banks merely by accepting member savings under co-operative law.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 2020 amendment expanded Banking Regulation Act application, while RBI's 30 October 2023 circular still preserves a role for the State or Central Registrar in name and bye-law changes.
Prelims trap	The 2020 amendment strengthened RBI control; it did not abolish every registrar function or make PACS banks.
Mains use	Present the reform as functional centralisation of banking oversight within a continuing federal co-operative structure.

MINI RECAP

- Banking and co-operative identity have different legal owners.
- 2020 widened RBI powers.
- Dual control was narrowed, not conceptually erased.

SESSION 6 - Local Area Banks, Small Finance Banks and Payments Banks

VISUAL FIRST

```
DIFFERENTIATED BANKS
  |
  +-- LAB -> local deposits + local lending; limited geography
  |
  +-- SFB -> deposits + lending
  |          FY 2025-26 onward PSL overall target = 60%
  |          >=50% loan portfolio <= Rs 25 lakh (Guidelines 28-11-2025)
  |
  +-- PAYMENTS BANK -> demand deposits + payments/remittances
             max end-day balance Rs 2 lakh/customer
             NO own-balance-sheet lending; NO credit cards
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Differentiated banks hold banking licences but operate with deliberately narrower objectives, geography or activity than a conventional universal commercial bank.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Differentiated licensing expands access by matching powers to purpose; inclusion comes from institutional design, not from granting every entity the same balance-sheet freedoms.

MUST-WRITE KEYWORDS

- **Local Area Bank**
- **Small Finance Bank**
- **Payments Bank**
- **differentiated licence**
- **Rs 2 lakh**
- **60 per cent PSL**
- **Rs 25 lakh loan**

CORE EXPLANATION

Local Area Banks arose from the 1996 licensing model to mobilise and lend locally within a small contiguous area. SFBs accept deposits and lend, with an inclusion-oriented portfolio. RBI's 20 June 2025 circular reduced the SFB overall priority-sector target to 60 per cent of ANBC or CEOBE from FY 2025-26; the Small Finance Banks Licensing Guidelines dated 28 November 2025 require at least half the loan portfolio to consist of loans up to Rs 25 lakh. Payments Banks accept current and savings deposits and deliver payments, remittances and permitted distribution services, but cannot lend from their own balance sheets or issue credit cards. RBI directions updated 1 April 2026 retain the Rs 2 lakh end-of-day balance cap per individual customer.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Narrow licences can lower entry and outreach barriers while ring-fencing riskier functions.
- **Named evidence:** RBI's dated SFB PSL circular and Payments Banks Directions assign different lending, deposit and portfolio constraints to the two licences.
- **Analysis:** SFBs can earn a credit spread but bear underwriting risk; Payments Banks avoid loan-book credit risk but face a difficult fee-and-safe-investment business model.
- **Qualification:** Both remain banks and may be scheduled if included in the Second Schedule; neither is merely an NBFC category.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's dated SFB PSL circular and Payments Banks Directions assign different lending, deposit and portfolio constraints to the two licences.
Prelims trap	Payments Banks can accept demand deposits but cannot lend from their own balance sheets; SFBs can do both.
Mains use	Evaluate each model by objective, permitted balance-sheet activity, inclusion gain and viability constraint.

MINI RECAP

- LAB is geographically narrow.
- SFB is a lending bank with dated inclusion requirements.
- Payments Bank is deposit-payment focused and cannot lend.

SESSION 7 - Business correspondents and priority-sector linkages

VISUAL FIRST

```
REGULATED BANK
      |
appoints / monitors
      v
BUSINESS CORRESPONDENT (agent, not bank)
      |
cash-in/out + account service + remittance support + last-mile interface
      |
formal account use and repayment trail
      |
PRIORITY-SECTOR CREDIT
      |
TARGETS GUIDE PORTFOLIO; UNDERWRITING STILL REQUIRED
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

A Business Correspondent is an agent engaged by a bank to provide specified last-mile services; the bank remains responsible. Priority Sector Lending is RBI-directed allocation of bank credit to notified sectors, measured against ANBC or CEOBE as prescribed.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Financial inclusion becomes durable when access points, usable accounts and suitable credit reinforce one another; a target or agent network alone is not an outcome.

MUST-WRITE KEYWORDS

- **Business Correspondent**
- **principal-agent**
- **last mile**
- **PSL**
- **ANBC**
- **CEOBE**
- **credit appraisal**

CORE EXPLANATION

RBI permitted the BC model in 2006 and subsequently expanded eligible agents and services. A BC may facilitate transactions and customer contact but does not become the deposit-taking principal. PSL connects bank portfolios to agriculture, MSMEs and other notified categories. Under the RBI direction effective 1 April 2025, most domestic commercial banks retain a 40 per cent overall target; the SFB-specific target is 60 per cent from FY 2025-26. These ratios are regulatory directions, not constitutional entitlements. Shortfalls and tradable priority-sector certificates can influence compliance, but genuine inclusion still requires viable borrowers, suitable products, grievance redress and local service.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** BCs solve distance and transaction-cost problems, while PSL addresses portfolio allocation; neither substitutes for credit quality.
- **Named evidence:** RBI's BC framework places the agent under bank responsibility, and dated PSL directions define measurable portfolio obligations.
- **Analysis:** Combining access infrastructure with a lending mandate can extend formal finance beyond branch economics.
- **Qualification:** Account opening, target achievement and developmental impact are different stages; do not infer productive use or repayment from compliance alone.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's BC framework places the agent under bank responsibility, and dated PSL directions define measurable portfolio obligations.
Prelims trap	A BC is not a bank, and PSL is not a waiver of appraisal or repayment.
Mains use	Link inclusion inputs to usage, suitability, enterprise income and consumer protection rather than citing account numbers alone.

MINI RECAP

- BC is an agent; the bank remains liable.
- PSL is a dated regulatory portfolio rule.
- Access must become usage and sound credit.

SESSION 8 - RBI licensing, regulation and supervision

VISUAL FIRST

```
ENTRY -> RBI licence under Banking Regulation Act section 22
   |
RULES -> capital, liquidity, exposure, governance, conduct
   |
REPORTING + off-site surveillance
   |
INSPECTION / risk-based supervision
   |
DIRECTIONS + restrictions + penalties + management action
   |
RECONSTRUCTION / amalgamation route where statute permits

LICENCE != daily management != ownership != failure guarantee
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Licensing authorises entry; regulation sets ex ante rules; supervision assesses compliance and risk; enforcement imposes corrective consequences. These are distinct stages of public oversight.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> A credible banking perimeter is a continuous chain from entry screening to risk-based supervision and enforceable exit, not a one-time licence.

MUST-WRITE KEYWORDS

- **section 22 licence**
- **prudential regulation**
- **risk-based supervision**
- **inspection**
- **section 35A directions**
- **enforcement**
- **section 45 reconstruction**

CORE EXPLANATION

RBI licences banking companies under section 22 of the Banking Regulation Act. It then applies capital, liquidity, exposure, governance, classification, provisioning and conduct rules; collects returns; inspects; and undertakes risk-based supervision. Directions and penalties address non-compliance, while management removal, board supersession, moratoria, reconstruction or amalgamation arise only under applicable statutory conditions. The owner may recapitalise or change strategy, and the board manages risk, but neither substitutes for supervisory judgement.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Effective regulation depends on sequencing authority before distress becomes irreversible.
- **Named evidence:** Banking Regulation Act sections 22, 35A and 45 provide separate licensing, direction and reconstruction powers.
- **Analysis:** The sequence creates escalating intervention: weak governance can be corrected before liquidity pressure becomes depositor panic or insolvency.
- **Qualification:** RBI supervision reduces probability and impact of failure; it neither promises zero failure nor automatically transfers losses to taxpayers.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Banking Regulation Act sections 22, 35A and 45 provide separate licensing, direction and reconstruction powers.
Prelims trap	A banking licence proves legal permission, not financial soundness or government ownership.
Mains use	Organise regulatory answers as entry -> prudence -> supervision -> correction -> resolution, naming the authority at each step.

MINI RECAP

- Licence is only entry.
- Supervision tests actual risk and compliance.
- Resolution powers differ from ordinary regulation.

SESSION 9 - Prudential regulation and Prompt Corrective Action

VISUAL FIRST

```
NORMAL PRUDENTIAL FRAMEWORK
capital + liquidity + asset quality + exposures + governance
        |
SUPERVISORY DETERIORATION
        |
PCA FRAMEWORK (effective 1 Jan 2022)
        +-- capital: CRAR / CET1 breach
        +-- asset quality: NNPA 6 / 9 / 12 per cent bands
        +-- leverage: below regulatory minimum
        |
graduated dividend, capital, branch, business and governance actions
        |
PCA != liquidation; EXIT needs four clean quarters + RBI comfort
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Prudential regulation limits the probability and impact of failure through capital, liquidity, exposure, provisioning and governance rules. Prompt Corrective Action is an early-intervention supervisory framework triggered by specified deterioration.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> PCA is a bridge from diagnosis to repair: it restricts risk-taking while owners and management restore capital, asset quality, leverage and a viable business model.

MUST-WRITE KEYWORDS

- **CRAR**
- **CET1**
- **NNPA**
- **Tier-1 leverage**
- **PCA**
- **supervisory intervention**
- **four continuous quarters**

CORE EXPLANATION

RBI's circular dated 2 November 2021 applies the revised PCA framework from 1 January 2022 to scheduled commercial banks other than SFBs, Payments Banks and RRBs. It monitors capital, asset quality and leverage. NNPA risk thresholds are 6 to below 9 per cent, 9 to below 12 per cent, and 12 per cent or more; capital and leverage bands are measured below applicable regulatory minima. Mandatory actions can restrict dividends, require owner capital, limit branch expansion and constrain capital expenditure; discretionary actions include governance, credit, market and operational measures. Exit normally requires no breach across four continuous quarterly statements, one audited, plus RBI supervisory comfort.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** PCA protects optionality by forcing repair before a weak bank reaches disorderly failure.
- **Named evidence:** The 2021 RBI PCA matrix links specified capital, NNPA and leverage breaches to graduated mandatory and discretionary actions.
- **Analysis:** Restrictions conserve capital and reduce further risk accumulation while governance and recovery plans address the cause.
- **Qualification:** PCA is neither insolvency adjudication nor a DICGC payout; RBI may also act outside the matrix where circumstances warrant.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 2021 RBI PCA matrix links specified capital, NNPA and leverage breaches to graduated mandatory and discretionary actions.
Prelims trap	Do not apply the SCB PCA matrix automatically to SFBs, Payments Banks, RRBs or every NBFC.
Mains use	Use PCA as the preventive-supervision stage and keep resolution and deposit insurance in later boxes.

MINI RECAP

- PCA is early intervention.
- Current SCB framework is effective from 1 January 2022.
- It is not liquidation or depositor compensation.

SESSION 10 - Resolution boundary and DICGC depositor protection

VISUAL FIRST

```
BANK DISTRESS
  |
  +-- SUPERVISION / PCA -> attempt repair
  |
  +-- MORATORIUM / RECONSTRUCTION / AMALGAMATION -> preserve functions
  |
  +-- LIQUIDATION OR INSURED-BANK TRIGGER
          |
          v
DICGC: eligible deposits, principal + interest
Rs 5 lakh per depositor per bank
same right + same capacity across all branches
limit effective 4 February 2020

NOT COVERED: shares, bonds, mutual funds, NBFC deposits
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

DICGC is the statutory deposit insurer and a wholly owned RBI subsidiary. It protects eligible deposits in insured banks up to the legal ceiling; it does not regulate banks, manage them or insure investment products.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Deposit insurance protects the small depositor and confidence, while resolution preserves or winds down institutions; neither should be confused with protecting shareholders or every creditor.

MUST-WRITE KEYWORDS

- **DICGC Act, 1961**
- **Rs 5 lakh**
- **per depositor per bank**
- **same right and capacity**
- **principal plus interest**
- **resolution**

CORE EXPLANATION

The insurance limit was raised from Rs 1 lakh to Rs 5 lakh per depositor in an insured bank with effect from 4 February 2020. Savings, current, fixed and recurring deposits are aggregated across all branches of the same bank when held in the same right and capacity; distinct legally recognised capacities are treated separately. Cover includes principal and accrued interest within the ceiling. Commercial banks, RRBs, Local Area Banks and insured co-operative banks are within the scheme; primary co-operative societies are not banks for this purpose. Deposits with different banks obtain separate bank-wise cover. DICGC excludes government, inter-bank and overseas deposits specified by law and does not cover ordinary NBFC deposits or securities.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The unit of insurance is the depositor's legal capacity within one bank, not each account or branch.
- **Named evidence:** DICGC's official FAQ and RBI's 4 February 2020 press release state the Rs 5 lakh principal-plus-interest ceiling and aggregation rule.
- **Analysis:** Aggregation limits fiscal and moral-hazard exposure while protecting small balances and slowing panic.
- **Qualification:** Insurance is a payout backstop, not proof that a bank cannot be placed under moratorium, reconstructed or liquidated.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	DICGC's official FAQ and RBI's 4 February 2020 press release state the Rs 5 lakh principal-plus-interest ceiling and aggregation rule.
Prelims trap	Five accounts in one bank do not create five covers when held in the same right and capacity.
Mains use	Separate prevention, emergency liquidity, resolution and insured reimbursement in a four-stage safety-net answer.

MINI RECAP

- Rs 5 lakh is per depositor per bank.
- Same right and capacity governs aggregation.
- DICGC does not cover NBFC deposits or market products.

SESSION 11 - NBFC definition and the bank-NBFC boundary

VISUAL FIRST

```
COMPANY
  |
financial assets > 50% total assets
AND financial income > 50% gross income
  |
principal business test -> NBFC registration perimeter
  |
NBFC CAN: lend, invest, lease, hire-purchase, specialised finance
NBFC CANNOT AS A NORMAL POWER:
  demand deposits | cheque drawn on itself | payment-system membership
  DICGC cover for its deposits

NBFC CREDIT CAN CREATE CLAIMS, BUT NOT BANK-DEPOSIT MONEY IN THE SAME WAY
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

An NBFC is a company whose principal business is specified financial activity. RBI's FAQ updated 29 April 2026 applies the 50-50 test: financial assets exceed 50 per cent of total assets net of intangibles and financial income exceeds 50 per cent of gross income.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Banks and NBFCs may both extend credit, but the bank's demand-deposit and payment promise creates a different monetary and safety-net perimeter.

MUST-WRITE KEYWORDS

- **section 45-I**
- **section 45-IA**
- **50-50 test**
- **demand deposit**
- **payment and settlement system**
- **DICGC exclusion**
- **credit creation nuance**

CORE EXPLANATION

NBFCs can lend and invest and may specialise in assets or borrowers that banks serve less efficiently. But ordinary NBFCs cannot accept demand deposits, do not form part of the payment and settlement system and cannot issue cheques drawn on themselves; deposit insurance is unavailable even to deposit-taking NBFC customers. A bank loan normally creates a bank deposit, expanding deposit money. An NBFC loan transfers or mobilises existing funding and can expand credit and liquidity-like claims, especially through market borrowing and securitisation, but it does not create universally accepted demand deposits on its own balance sheet.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The decisive bank-NBFC distinction lies in liabilities and payment convertibility, not whether both make loans.
- **Named evidence:** RBI's NBFC FAQ updated 29 April 2026 expressly lists demand deposits, payment-system membership and DICGC insurance as the three main differences.
- **Analysis:** Runnable money-like liabilities justify stronger bank safety nets and prudential intensity, while wholesale-funded NBFCs create a different rollover channel.
- **Qualification:** Some specialised NBFCs face intensive regulation, and some banks have narrow licences; institutional risk cannot be read from the label alone.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's NBFC FAQ updated 29 April 2026 expressly lists demand deposits, payment-system membership and DICGC insurance as the three main differences.
Prelims trap	RBI registration does not turn an NBFC into a bank or insure its deposits.
Mains use	Compare funding, money creation, payment access, safety nets and failure transmission rather than merely listing products.

MINI RECAP

- NBFC status uses a principal-business test.
- Ordinary NBFCs cannot accept demand deposits.
- Credit intermediation is shared; money and safety-net powers differ.

SESSION 12 - NBFC-D, NBFC-ND and registration thresholds

VISUAL FIRST

```
NBFC LIABILITY AXIS
  |
  +-- NBFC-D -> RBI permission to accept public deposits
  |             deposit rules; NO DICGC insurance
  |
  +-- NBFC-ND -> cannot accept public deposits
                may still use bank loans, CP, debentures or group funds

REGISTRATION AXIS (RBI FAQ updated 29 Apr 2026)
general NOF: Rs 10 crore from 1 Oct 2022
existing NBFC transition deadline: 31 Mar 2027
specialised categories may have separate NOF floors
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Deposit-taking status classifies an NBFC by permission to accept public deposits; it is separate from size, activity and systemic layer. Public funds are broader than public deposits and include bank finance, inter-corporate deposits, commercial paper and debentures.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> An NBFC can be non-deposit-taking yet systemically important because wholesale and bank funding can transmit stress even without retail deposits.

MUST-WRITE KEYWORDS

- **NBFC-D**
- **NBFC-ND**
- **public deposit**
- **public funds**
- **Certificate of Registration**
- **net owned fund**
- **31 March 2027**

CORE EXPLANATION

Only specifically authorised NBFCs may accept public deposits; registration alone is insufficient. Non-deposit-taking NBFCs can still be highly leveraged and interconnected through market and bank funding. The RBI FAQ updated 29 April 2026 states a general minimum net owned fund of Rs 10 crore for new NBFC registration from 1 October 2022, with existing NBFCs given until 31 March 2027, while specialised categories have separate floors. Deposit-taking and non-deposit-taking labels therefore answer a funding-permission question, not the whole prudential classification.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Funding source, not the presence of the word deposit in a name, determines the run and contagion channel.
- **Named evidence:** RBI's 2026 FAQ distinguishes public deposits from broader public funds and states the dated registration capital transition.
- **Analysis:** Wholesale-funded entities can suffer rollover runs when lenders or markets refuse renewal, transmitting stress to mutual funds and banks.
- **Qualification:** A statutory exemption or specialised registration rule may alter the general entry requirement; always identify the exact entity category.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's 2026 FAQ distinguishes public deposits from broader public funds and states the dated registration capital transition.
Prelims trap	NBFC-ND means no public deposits, not no outside borrowing or no systemic risk.
Mains use	Map both retail-run risk and wholesale-rollover risk when comparing banks and NBFCs.

MINI RECAP

- Deposit status is one classification axis.
- Public funds exceed public deposits.
- General NOF and specialised floors must not be mixed.

SESSION 13 - Scale Based Regulation: Base, Middle, Upper and Top layers

VISUAL FIRST

```
RBI SBR DIRECTIONS 2025, UPDATED 1 JULY 2026
  |
  +-- BASE: ND NBFC below Rs 1,000 crore
  |          plus P2P, AA, NOFHC and Type-I by activity/status
  |
  +-- MIDDLE: all NBFC-D; ND NBFC Rs 1,000 crore+
  |            plus SPD, IDF-NBFC, CIC, HFC, IFC
  |
  +-- UPPER: NBFC asset size Rs 1,00,000 crore+
  |            identified under 24 June 2026 amendment
  |
  +-- TOP: normally empty; exceptional severe-risk escalation
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Scale Based Regulation classifies NBFCs into four layers according to size, activity and perceived risk, with progressively stronger requirements as systemic importance rises.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> SBR converts proportionality into a ladder: regulation intensifies with funding fragility, activity and systemic footprint rather than treating every NBFC as a miniature bank.

MUST-WRITE KEYWORDS

- **SBR**
- **Base Layer**
- **Middle Layer**
- **Upper Layer**
- **Top Layer**
- **Rs 1,000 crore**
- **Rs 1,00,000 crore**

CORE EXPLANATION

Under the RBI SBR Directions dated 28 November 2025 and updated 1 July 2026, Base Layer includes non-deposit-taking NBFCs below Rs 1,000 crore and activity-based categories such as P2P, Account Aggregator, NOFHC and Type-I NBFC. Middle Layer includes every deposit-taking NBFC, non-deposit-taking NBFCs with assets of Rs 1,000 crore or more, and specified categories including SPDs, IDF-NBFCs, CICs, HFCs and IFCs. The 24 June 2026 amendment replaced the prior scoring approach for Upper Layer with an audited asset-size threshold of Rs 1,00,000 crore and above. Top Layer is intended to remain empty unless RBI escalates an Upper-Layer entity for substantially higher risk.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** SBR reduces one-size-fits-all cost while closing the gap for large or fragile non-banks.
- **Named evidence:** RBI's SBR Directions updated 1 July 2026 and the 24 June amendment specify the four layers and current size thresholds.
- **Analysis:** A layered regime can preserve specialised finance at the base while applying bank-like governance and prudence to entities capable of system-wide spillovers.
- **Qualification:** Layer placement can follow activity or deposit status as well as size; an NBFC below a size threshold is not automatically Base Layer.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's SBR Directions updated 1 July 2026 and the 24 June amendment specify the four layers and current size thresholds.
Prelims trap	Do not put every MFI or Factor automatically in Middle Layer; apply the activity and size rules actually specified.
Mains use	Use SBR as India's proportional response to shadow-banking diversity and regulatory arbitrage.

MINI RECAP

- Four layers use size, activity and risk.
- Rs 1,000 crore separates ordinary ND base/middle.
- Rs 1,00,000 crore Upper threshold dates from 24 June 2026.

SESSION 14 - CICs, HFCs, MFIs and Factors

VISUAL FIRST

```
SPECIALISED NBFC FUNCTION MAP (current RBI directions)
  |
  +-- CIC -> group holdings; 90% net assets in group exposure;
  |          60% in group equity/qualifying InvIT sponsor units
  |
  +-- HFC -> >=60% assets in housing finance;
  |          >=50% total assets in individual housing finance
  |
  +-- NBFC-MFI -> >=75% assets in microfinance loans;
  |          collateral-free; household income <= Rs 3 lakh
  |
  +-- NBFC-FACTOR -> >=50% assets and >=50% income from factoring
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Activity-based NBFC categories identify the principal economic function and then attach specialised asset-composition, conduct or prudential rules.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Specialisation should be tested by what dominates the balance sheet and income, not by branding: the legal ratios keep a category tied to its stated function.

MUST-WRITE KEYWORDS

- **CIC 90/60**
- **HFC 60/50**
- **NBFC-MFI 75 per cent**
- **Rs 3 lakh household income**
- **Factor 50/50**
- **principal business**

CORE EXPLANATION

RBI's CIC Directions updated 10 March 2026 require at least 90 per cent of net assets in group-company investments, debt or loans, with at least 60 per cent in group equity and qualifying sponsor InvIT units. RBI's NBFC FAQ updated 29 April 2026 defines HFCs through at least 60 per cent of assets in housing finance and at least 50 per cent of total assets in individual housing finance. The same FAQ defines NBFC-MFI as a non-deposit-taking NBFC with at least 75 per cent of assets in microfinance loans; a microfinance loan is collateral-free to a household with annual income up to Rs 3 lakh. An NBFC-Factor must derive at least 50 per cent of assets and 50 per cent of gross income from factoring.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Quantitative principal-business tests protect regulatory meaning and limit category arbitrage.
- **Named evidence:** The dated RBI CIC Directions and April 2026 NBFC FAQ provide the 90/60, 60/50, 75 per cent and 50/50 tests.
- **Analysis:** These tests align the licence with the dominant risk: group concentration, housing tenor, vulnerable-household lending or receivables finance.
- **Qualification:** The ratios identify category; they do not by themselves prove portfolio quality, diversification or consumer suitability.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The dated RBI CIC Directions and April 2026 NBFC FAQ provide the 90/60, 60/50, 75 per cent and 50/50 tests.
Prelims trap	Do not interchange the CIC 90/60, HFC 60/50, MFI 75 per cent and Factor 50/50 tests.
Mains use	Use a function-risk-rule matrix rather than listing NBFC abbreviations without analytical purpose.

MINI RECAP

- CIC manages group exposure.
- HFC and MFI tests identify portfolio purpose.
- Factoring converts receivables into finance.

SESSION 15 - P2P platforms and Account Aggregators

VISUAL FIRST

```
P2P PLATFORM (NBFC-P2P)              ACCOUNT AGGREGATOR (NBFC-AA)
online loan facilitation                 consent-management data rail
NO deposits                              NO deposits or lending
NO own lending                           NO transaction execution
NO guarantee / credit enhancement        customer data not AA property
escrowed fund flows                       explicit consent and revocation
credit risk stays with lender             information moves; money does not
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

An NBFC-P2P is a regulated online intermediary that facilitates loans between participants without lending on its own balance sheet. An NBFC-AA retrieves, organises and presents specified financial information under customer consent without becoming the owner of that information or executing financial transactions.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Platform regulation must follow the function: P2P governs credit matching and fund-flow integrity, while Account Aggregation governs consented data mobility.

MUST-WRITE KEYWORDS

- **NBFC-P2P**
- **online marketplace**
- **no balance-sheet lending**
- **escrow**
- **NBFC-AA**
- **consent artefact**
- **no transaction support**

CORE EXPLANATION

RBI's NBFC-P2P Directions dated 28 November 2025 keep P2P entities in Base Layer, require registration and at least Rs 2 crore net owned fund, and prohibit deposits, own lending, credit guarantees, secured platform lending and holding participant funds on the platform's balance sheet. The platform facilitates and funds move through prescribed escrow arrangements. RBI's NBFC-AA Directions of the same date also keep AAs in Base Layer and require at least Rs 2 crore net owned fund. AAs retrieve and consolidate financial information only under explicit consent; they cannot undertake fund-based activity or support transactions in financial assets.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A digital intermediary may be systemically relevant without itself being the lender or deposit-holder.
- **Named evidence:** The 2025 P2P and AA Directions assign both categories to Base Layer but impose function-specific registration, neutrality and governance rules.
- **Analysis:** Separating platform, lender, data provider and customer prevents hidden guarantees, misuse of funds and unauthorised data reuse.
- **Qualification:** Base Layer does not mean unregulated, and technology does not shift the regulated entity's responsibility to an app or service provider.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 2025 P2P and AA Directions assign both categories to Base Layer but impose function-specific registration, neutrality and governance rules.
Prelims trap	P2P is not a bank or assured-return product; AA is not a lender, wallet or transaction platform.
Mains use	Use P2P and AA to show why activity-based conduct rules complement entity-based prudential rules.

MINI RECAP

- P2P matches lenders and borrowers.
- AA moves consented information.
- Neither may turn its specialised licence into ordinary banking.

SESSION 16 - Shadow banking, ALM and interconnected systemic risk

VISUAL FIRST

```
SHORT-TERM MARKET / BANK FUNDING
          |
          v
LONG-TERM OR ILLIQUID NBFC ASSETS
          |
          v
ASSET-LIABILITY MISMATCH + LEVERAGE + CONCENTRATION
          |
loss of confidence -> rollover refusal -> asset sale -> price fall
          |
mutual funds <-> banks <-> bond market <-> borrowers
          |
SYSTEMIC CONTAGION (IL&FS 2018 / DHFL stress)
          |
ALM + liquidity buffers + concentration limits + consolidated supervision
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Shadow banking describes credit intermediation outside traditional deposit-taking banks. Asset-liability management measures whether the timing and liquidity of funding can support the cash flows and maturity of assets.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Non-bank systemic risk is often a run by wholesale creditors rather than retail depositors, but its transmission through banks and markets can be equally disruptive.

MUST-WRITE KEYWORDS

- **shadow banking**
- **ALM**
- **rollover risk**
- **wholesale funding**
- **interconnectedness**
- **fire sale**
- **contagion**

CORE EXPLANATION

An NBFC financing long infrastructure, housing or vehicle loans with short commercial paper or bank borrowing must continually refinance. If confidence falls, lenders refuse rollover, forcing asset sales or payment delays. The IL&FS default in 2018 and DHFL stress exposed connections among NBFCs, mutual funds, banks, bond markets and end-borrowers. Solvency and liquidity must still be distinguished: an illiquid entity may own valuable assets that cannot be sold quickly, while an insolvent entity has losses exceeding capital. SBR, ALM rules, liquidity buffers, exposure limits and group supervision target different points in this chain.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The systemic importance of an NBFC depends more on leverage, maturity mismatch and network position than on whether it accepts demand deposits.
- **Named evidence:** IL&FS and DHFL are named Indian episodes in which wholesale-funding stress propagated across market and bank balance sheets.
- **Analysis:** Interconnected creditors react simultaneously, turning entity-specific opacity into market-wide liquidity withdrawal and risk repricing.
- **Qualification:** The episodes do not prove every NBFC is unsafe; specialised underwriting can complement banks where regulation follows actual risk.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	IL&FS and DHFL are named Indian episodes in which wholesale-funding stress propagated across market and bank balance sheets.
Prelims trap	Shadow banking means non-bank credit intermediation, not necessarily illegal or unsupervised finance.
Mains use	Trace funding source -> mismatch -> confidence shock -> network transmission -> calibrated regulatory response.

MINI RECAP

- Wholesale runs differ from deposit runs.
- ALM is a timing and liquidity problem.
- Interconnectedness converts local stress into systemic risk.

SESSION 17 - Governance, connected lending and fit-and-proper controls

VISUAL FIRST

```
OWNER / PROMOTER
      |
      X must not capture credit decision
      |
BOARD -> strategy + risk appetite + oversight
      |
MANAGEMENT -> underwriting + monitoring + recovery
      |
CONTROLS -> fit-and-proper + conflict disclosure + recusal
            exposure limits + audit + related-party monitoring
      |
RBI SUPERVISION -> challenge, direction, enforcement

CONNECTED LENDING: influence -> weak appraisal -> concentration -> loss
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Connected lending is credit extended to persons or entities able to influence the lender through ownership, control, directorship or related relationships. Fit-and-proper assessment tests competence, integrity and conflicts of those governing a regulated institution.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Capital cannot compensate indefinitely for captured governance: related-party discipline and fit-and-proper leadership are first-line prudential safeguards.

MUST-WRITE KEYWORDS

- **connected lending**
- **section 20**
- **conflict of interest**
- **recusal**
- **fit and proper**
- **board oversight**
- **regulatory supervision**

CORE EXPLANATION

Section 20 of the Banking Regulation Act restricts loans and advances involving directors and connected interests. RBI's Commercial Banks Governance Directions dated 28 November 2025 require boards to oversee risk, controls, related-entity exposure, customer protection and inclusion, with category-specific governance for PSBs, private and foreign banks. Fit-and-proper processes examine qualifications, integrity and conflicts. Good governance separates credit judgement from promoter influence, documents recusals, applies exposure limits and allows audit and supervisory challenge. The same logic extends, with category-specific rules, to co-operative banks and NBFCs.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Connected lending converts governance failure into credit concentration and concealment risk.
- **Named evidence:** Banking Regulation Act section 20 and RBI's 2025 governance directions place statutory and board-level controls around related exposures.
- **Analysis:** When influential borrowers bypass appraisal, losses cluster, recognition is delayed and depositors or creditors bear risks they did not price.
- **Qualification:** A related-party label calls for control and scrutiny; it does not prove that every legally permitted transaction is abusive.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Banking Regulation Act section 20 and RBI's 2025 governance directions place statutory and board-level controls around related exposures.
Prelims trap	Do not equate government ownership, promoter shareholding, board management and RBI regulation.
Mains use	Put governance before recapitalisation: identify incentive failure, evidence, control, supervisor and accountability.

MINI RECAP

- Connected lending is a conflict-and-concentration problem.
- Fit-and-proper is preventive governance.
- Board oversight and RBI supervision are complementary.

SESSION 18 - Consumer protection and digital-lending perimeter

VISUAL FIRST

```
REGULATED ENTITY (BANK / CO-OP BANK / NBFC / AIFI)
        |
engages LENDING SERVICE PROVIDER / APP
        |
RE remains responsible
        |
KFS + APR disclosure + creditworthiness assessment
        |
direct disbursal / repayment between borrower and RE accounts
        |
need-based explicit data consent + grievance route
        |
OUTSOURCING DOES NOT OUTSOURCE LIABILITY
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

Conduct regulation protects borrowers through transparent price disclosure, fair assessment, controlled data use, accountable outsourcing and effective grievance redress, alongside prudential rules that protect institutional solvency.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> Digital convenience changes the delivery channel, not the lender's duty: the regulated entity remains responsible for pricing, data, fund flow, recovery and redress.

MUST-WRITE KEYWORDS

- **Digital Lending Directions, 2025**
- **regulated entity**
- **LSP**
- **KFS**
- **APR**
- **direct disbursal**
- **explicit consent**

CORE EXPLANATION

RBI's Digital Lending Directions dated 8 May 2025 apply to commercial banks, co-operative banks, NBFCs including HFCs, and AIFIs. They require regulated entities to conduct due diligence on lending service providers, disclose matched loan offers fairly where multiple lenders are involved, provide a Key Facts Statement and annual percentage rate, assess creditworthiness, and keep disbursal and repayment directly between borrower and regulated-entity bank accounts except specified cases. Data collection must be need-based and consented, while the regulated entity remains liable for its agent's acts and omissions.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Prudential safety without conduct protection can leave a solvent lender producing unfair household outcomes.
- **Named evidence:** The 8 May 2025 Directions join KFS, direct fund flows, data consent, app disclosure and retained regulated-entity responsibility.
- **Analysis:** These rules reduce hidden charges, pass-through accounts, dark-pattern steering, excessive data extraction and accountability gaps.
- **Qualification:** This session supplies the regulatory cross-link only; detailed fintech competition and platform-economy analysis belongs to Economy Topic 24.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 8 May 2025 Directions join KFS, direct fund flows, data consent, app disclosure and retained regulated-entity responsibility.
Prelims trap	An LSP may perform functions for a lender but does not become the regulated lender or absorb its legal responsibility.
Mains use	Balance innovation with disclosure, consent, grievance, auditability and principal liability.

MINI RECAP

- KFS makes total cost visible.
- Funds should not pass through an LSP account.
- Outsourcing cannot outsource responsibility.

SESSION 19 - Development financial institutions versus banks and NBFCs

VISUAL FIRST

```
DEVELOPMENT FINANCE GAP
long tenor + project risk + positive externalities + thin markets
        |
        +-- NABARD (1982) -> agriculture and rural development
        |                    refinance + development + rural supervision
        |
        +-- SIDBI (1990) -> MSME promotion, finance, development
        |                   direct finance + refinance + coordination
        |
        +-- NaBFID Act, 2021 -> infrastructure DFI
                             finance + market development
                             RBI-regulated AIFI since 8 March 2022

DFI PURPOSE != universal deposit bank != ordinary NBFC label
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

A development financial institution uses a specialised statutory or policy mandate, patient finance, refinancing and market development to address sectors where commercial finance is too short-term, fragmented or risk-averse.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> DFIs are justified where social returns and long project horizons exceed what ordinary bank liabilities or market appetite can comfortably finance, but mandate must be matched by governance and project discipline.

MUST-WRITE KEYWORDS

- **DFI**
- **patient capital**
- **refinance**
- **NABARD**
- **SIDBI**
- **NaBFID**
- **AIFI**
- **additionality**

CORE EXPLANATION

NABARD was established in 1982 under Act 61 of 1981 as the apex development bank for agriculture and rural development, combining refinance, development and specified supervision of rural credit institutions. SIDBI was set up on 2 April 1990 under an Act of Parliament as the principal financial institution for promotion, financing and development of MSMEs, using direct and indirect finance. The NaBFID Act, 2021 created a specialised infrastructure DFI; the Act came into force on 19 April 2021, and RBI advised on 8 March 2022 that NaBFID would be regulated and supervised as an AIFI under sections 45L and 45N of the RBI Act. It commenced commercial operations on 29 December 2022.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** DFIs address maturity and coordination failures rather than simply replicating commercial-bank lending.
- **Named evidence:** The NABARD, SIDBI and NaBFID statutes and official profiles assign sector-specific development, finance or refinance mandates.
- **Analysis:** Long-term funding, appraisal capability and catalytic finance can crowd in private capital where uncertain cash flows deter ordinary lenders.
- **Qualification:** A developmental mandate cannot excuse weak appraisal, political allocation or permanent dependence; additionality and financial sustainability must be tested.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The NABARD, SIDBI and NaBFID statutes and official profiles assign sector-specific development, finance or refinance mandates.
Prelims trap	NABARD, SIDBI and NaBFID are not interchangeable universal banks, and a DFI is not defined merely by government ownership.
Mains use	Compare mandate, funding horizon, target sector, instrument and accountability before judging DFI relevance.

MINI RECAP

- NABARD owns rural development finance.
- SIDBI owns MSME development finance.
- NaBFID owns infrastructure development finance.

SESSION 20 - Regulatory architecture and inter-regulatory perimeter

VISUAL FIRST

```
FINANCIAL CLAIM / ACTIVITY
  |
  +-- banking, NBFC, payment system -> RBI
  +-- insured bank deposit -> DICGC backstop
  +-- securities / exchanges / funds -> SEBI
  +-- insurance -> IRDAI
  +-- pensions -> PFRDA
  +-- insolvency forum -> IBC institutions / adjudication
  +-- cross-sector systemic coordination -> FSDC

TEST: entity + activity + liability + statute + regulator + remedy
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

The regulatory perimeter assigns legal authority by entity and activity, while coordination mechanisms address conglomerates, substitutable products and systemic spillovers across sectoral boundaries.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> The correct regulator cannot be inferred from a product's marketing label; identify the legal entity, underlying claim, activity and remedy.

MUST-WRITE KEYWORDS

- **regulatory perimeter**
- **RBI**
- **DICGC**
- **SEBI**
- **IRDAI**
- **PFRDA**
- **FSDC**
- **regulatory arbitrage**

CORE EXPLANATION

RBI regulates banking, payment systems and specified NBFC activity; DICGC provides a statutory insurance backstop for eligible bank deposits. SEBI regulates securities markets and intermediaries, IRDAI insurance, and PFRDA pensions. FSDC supports high-level coordination but does not replace sector regulators. Conglomerates and products can cross boundaries: a bank may distribute insurance without becoming the insurer, an NBFC may issue securities subject to market rules, and an Account Aggregator moves information across regulated sectors. The correct analysis therefore maps each activity and claim to its governing law and authority.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Regulatory arbitrage grows when equivalent risks receive materially different treatment merely because they sit in different legal wrappers.
- **Named evidence:** RBI's 2025 directions repeatedly apply entity-specific rules while recognising group entities, market instruments and other financial-sector regulators.
- **Analysis:** Activity mapping and consolidated supervision reveal hidden leverage, guarantees, common exposures and intra-group contagion.
- **Qualification:** Harmonisation should target equivalent risk, not erase useful differences among deposit banks, specialised lenders and data platforms.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's 2025 directions repeatedly apply entity-specific rules while recognising group entities, market instruments and other financial-sector regulators.
Prelims trap	FSDC coordinates; it does not license banks, insure deposits or adjudicate every financial complaint.
Mains use	Draw an entity-activity-regulator-remedy matrix before recommending a unified or activity-based framework.

MINI RECAP

- Regulation follows legal mandate.
- Coordination handles cross-sector spillovers.
- Same product name may hide different legal claims.

SESSION 21 - Integrated Mains architecture: inclusion, competition and stability

VISUAL FIRST

```
START: DEFINE THE INSTITUTIONAL PERIMETER
        |
MAP: bank categories + NBFC layers + specialised entities
        |
TRACE: funding -> assets -> maturity -> leverage -> interconnectedness
        |
ASSIGN: owner | board | management | RBI | DICGC | sector regulator
        |
TEST: inclusion + competition + consumer protection + resilience
        |
QUALIFY: proportionality, moral hazard, innovation and fiscal exposure
        |
VERDICT: diverse institutions, equivalent-risk rules, credible exit
```

Visual purpose: establish the examinable structure before detailed explanation.

DEFINITION / WHAT THIS IS CALLED

A regulatory-architecture answer explains how institutional diversity is governed across entry, prudence, conduct, supervision, corrective action, resolution and depositor protection.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

> India should preserve specialised intermediation but regulate equivalent risks equivalently, intensify oversight with systemic footprint and maintain credible loss-allocation and consumer-protection boundaries.

MUST-WRITE KEYWORDS

- **functional regulation**
- **proportionality**
- **regulatory arbitrage**
- **credible exit**
- **financial inclusion**
- **consumer protection**
- **systemic stability**

CORE EXPLANATION

Begin by classifying the entity and its legal powers. Next identify liabilities: insured demand deposits, term deposits, wholesale debt, bank borrowing or pure information intermediation. Then trace assets, tenor, leverage and concentration. Assign responsibilities among owner, board, management, RBI, DICGC and other regulators. Evaluate inclusion benefits from RRBs, co-operatives, SFBs, Payments Banks, BCs, NBFCs and DFIs against viability, governance and contagion risks. Conclude with proportional capital and liquidity rules, activity-based conduct standards, consolidated supervision, prompt intervention and credible resolution.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The best regulatory design is neither identical rules for all entities nor permissive exceptionalism for specialised institutions.
- **Named evidence:** India's dated differentiated-bank, PCA, SBR, DICGC and digital-lending frameworks apply different tools to different liability and risk profiles.
- **Analysis:** Proportionality preserves innovation and reach, while equivalent-risk rules stop the same leverage or consumer harm migrating to the least regulated wrapper.
- **Qualification:** Stronger regulation can raise intermediation cost; policy must compare that cost with avoided crises, depositor harm and fiscal risk.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	India's dated differentiated-bank, PCA, SBR, DICGC and digital-lending frameworks apply different tools to different liability and risk profiles.
Prelims trap	Do not propose one regulator or one capital rule merely because financial products converge.
Mains use	Use the seven-step rail as introduction, body sequence and qualified conclusion in a 15- or 20-mark answer.

MINI RECAP

- Classify before evaluating.
- Trace liabilities and transmission.
- Balance diversity with equivalent-risk regulation and credible exit.

Practice contract: exactly 32 original MCQs; correct answers follow `ABCD` repeated eight times. Every option receives a question-specific explanation.

BASIC MCQS / REMEDIATION

MCQ 1

Which feature is part of the statutory meaning of banking under section 5(b) of the Banking Regulation Act?

- A. Accepting public deposits repayable on demand or otherwise for lending or investment
- B. Accepting only equity capital for own investment
- C. Providing investment advice without taking repayable funds
- D. Operating a securities exchange for listed companies

Answer: A.

Option-specific explanations:

- **A - Correct:** It preserves both the liability side and the use of funds in the statutory definition.
- **B - Incorrect:** Equity raised from owners is not a public deposit repayable to customers.
- **C - Incorrect:** Advice alone does not satisfy the deposit-and-lending definition.
- **D - Incorrect:** Exchange operation falls in the securities-market perimeter, not section 5(b) banking.

Examiner trap 1: Do not reduce banking to lending; the public-deposit and withdrawal promise is essential.

MCQ 2

On a commercial bank's balance sheet, which item is ordinarily a liability?

- A. Loans to households
- B. Customer fixed deposits
- C. Government securities held by the bank
- D. Cash balance maintained with RBI

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A loan is a claim receivable by the bank and therefore an asset.
- **B - Correct:** The bank owes the deposited principal and contracted interest to the customer.
- **C - Incorrect:** An investment owned by the bank is an asset, even if liquid.
- **D - Incorrect:** Cash and reserve balances are assets available for settlement or compliance.

Examiner trap 2: Read the balance sheet from the bank's perspective, not the customer's.

MCQ 3

What best describes maturity transformation by a bank?

- A. Turning every term deposit into equity capital
- B. Exchanging damaged currency notes for new notes
- C. Funding longer loans with a mix that includes shorter or withdrawable liabilities
- D. Converting a non-performing loan into cash without loss

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Deposits remain debt liabilities and do not become owner capital.
- **B - Incorrect:** Currency exchange is an operational service, not maturity transformation.
- **C - Correct:** Banks bridge savers' liquidity preference and borrowers' longer financing horizon.
- **D - Incorrect:** Illiquid credit cannot be assumed to become cash at par.

Examiner trap 3: Maturity transformation creates value and liquidity risk at the same time.

MCQ 4

Which statement about scheduled-bank status is correct?

- A. It is conferred automatically on every company licensed to lend
- B. It means the bank is owned by the Union Government
- C. It guarantees that RBI will prevent the bank from failing
- D. It is defined by inclusion in the Second Schedule to the RBI Act, 1934

Answer: D.

Option-specific explanations:

- **A - Incorrect:** A lending company may be an NBFC and not a bank, much less a scheduled bank.
- **B - Incorrect:** The Schedule includes banks with different ownership forms.
- **C - Incorrect:** Legal classification does not remove insolvency or resolution risk.
- **D - Correct:** Second Schedule inclusion is the defining legal test.

Examiner trap 4: Scheduled is a statutory status, not an ownership or guarantee label.

MCQ 5

Which statement correctly separates ownership from regulation?

- A. A public-sector bank may be government-owned while RBI separately regulates its banking conduct
- B. RBI owns every bank that it supervises
- C. A private bank's board replaces the need for prudential rules
- D. Government ownership makes management decisions an MPC function

Answer: A.

Option-specific explanations:

- **A - Correct:** Ownership rights and regulatory powers arise from different legal relationships.
- **B - Incorrect:** Supervisory jurisdiction does not transfer ownership to the regulator.
- **C - Incorrect:** Board governance and external prudential supervision perform different functions.
- **D - Incorrect:** The Monetary Policy Committee does not manage commercial-bank credit decisions.

Examiner trap 5: Always identify owner, board, management and regulator separately.

MCQ 6

Which statement about a foreign bank's presence in India is most accurate?

- A. A foreign bank can operate only through a representative office that accepts deposits
- B. A branch and a locally incorporated wholly owned subsidiary are distinct regulatory forms
- C. Both forms have identical local capital and governance treatment
- D. Foreign ownership removes RBI licensing jurisdiction

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A representative office is not a deposit-taking bank branch.
- **B - Correct:** RBI applies model-specific entry, capital and governance conditions.
- **C - Incorrect:** Branch and subsidiary models create different legal and loss-absorption structures.
- **D - Incorrect:** Banking in India remains subject to RBI permission and regulation.

Examiner trap 6: Do not transfer a WOS condition mechanically to the branch model.

MCQ 7

What is the statutory ownership ratio of a Regional Rural Bank?

- A. Union Government 51%, RBI 24%, NABARD 25%
- B. Sponsor bank 50%, State Government 35%, Union Government 15%
- C. Union Government 50%, sponsor bank 35%, State Government 15%
- D. Union and State Governments hold 50% each

Answer: C.

Option-specific explanations:

- **A - Incorrect:** RBI and NABARD are not statutory equity owners in that formula.
- **B - Incorrect:** The shares are assigned in a different order under the RRB framework.
- **C - Correct:** The 50:35:15 formula reflects three-way ownership under the RRB Act.
- **D - Incorrect:** The sponsor bank's statutory stake cannot be omitted.

Examiner trap 7: Remember both the numbers and which institution owns each share.

MCQ 8

What is the safest description of co-operative-bank dual control after the 2020 amendment?

- A. All State and Central Registrar powers were abolished
- B. RBI regulates only payments while States regulate prudence
- C. Every primary co-operative society became an insured bank
- D. RBI's banking and governance powers expanded, while co-operative-law functions still remain with the relevant registrar

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The co-operative legal form, registration and specified bye-law processes remain.
- **B - Incorrect:** RBI's banking-law role includes licensing, prudence and supervision.
- **C - Incorrect:** A credit society does not become a bank merely because co-operative law permits member transactions.
- **D - Correct:** The amendment narrows regulatory gaps without erasing the co-operative-law layer.

Examiner trap 8: Avoid saying dual control ended completely.

MCQ 9

Which feature most clearly characterises the Local Area Bank model?

- A. A banking licence combined with a deliberately limited local geography
- B. A nationwide bank prohibited from local lending
- C. An NBFC permitted to issue cheques without a bank licence
- D. A co-operative society owned only by its borrowers

Answer: A.

Option-specific explanations:

- **A - Correct:** The model combines deposit banking with a geographically bounded market.
- **B - Incorrect:** The model was created precisely for local mobilisation and credit.
- **C - Incorrect:** Cheque-linked deposit banking requires the banking perimeter.
- **D - Incorrect:** LABs are a distinct private-sector banking model, not co-operative societies.

Examiner trap 9: Do not confuse local geography with co-operative ownership.

MCQ 10

Which statement about Small Finance Banks is correct as of the cited rules?

- A. They may provide payments but cannot lend from their balance sheet
- B. They accept deposits and lend, with an overall PSL target of 60% from FY 2025-26
- C. They are always Base-Layer NBFCs
- D. Their PSL target is permanently fixed by the Constitution

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That restriction defines Payments Banks, not SFBs.
- **B - Correct:** RBI's 20 June 2025 circular set the 60 per cent overall target from FY 2025-26.
- **C - Incorrect:** An SFB is a bank, not an NBFC layer.
- **D - Incorrect:** PSL targets come from RBI directions and can change.

Examiner trap 10: Date the current SFB target and keep it separate from the Payments Bank model.

MCQ 11

Which combination correctly describes a Payments Bank under RBI directions updated 1 April 2026?

- A. Term project lending is permitted but remittances are prohibited
- B. Credit cards are permitted if deposits stay below Rs 2 lakh
- C. Demand deposits and payments are permitted, but own-balance-sheet lending is prohibited
- D. It is an NBFC because it cannot lend

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The model centres on payments and does not permit ordinary lending.
- **B - Incorrect:** The deposit cap does not authorise credit-card lending.
- **C - Correct:** The licence separates payment and deposit access from credit intermediation.
- **D - Incorrect:** A Payments Bank is a differentiated bank with a banking licence.

Examiner trap 11: No lending does not mean no banking status.

MCQ 12

What is the current Payments Bank customer-balance rule cited in this package?

- A. Maximum Rs 2 lakh across every bank owned by the customer
- B. Minimum Rs 2 lakh balance before payments are allowed
- C. No cap applies because DICGC insurance is Rs 5 lakh
- D. Maximum Rs 2 lakh per individual customer at the end of the day

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The rule applies to an individual customer's balance with the Payments Bank.
- **B - Incorrect:** The amount is a ceiling, not a minimum.
- **C - Incorrect:** Deposit insurance and the Payments Bank operating cap are separate rules.
- **D - Correct:** RBI Directions updated 1 April 2026 retain the end-of-day ceiling.

Examiner trap 12: Do not substitute the DICGC limit for the Payments Bank balance limit.

MCQ 13

Which statement best describes a Business Correspondent?

- A. An agent delivering specified bank services while the bank remains responsible
- B. A separate bank that may create deposits in its own name
- C. An unregulated lender exempt from customer-protection rules
- D. A DICGC office that pays insured deposits

Answer: A.

Option-specific explanations:

- **A - Correct:** The agency model extends reach without transferring the bank's legal responsibility.
- **B - Incorrect:** The BC acts for the principal bank and does not become a bank.
- **C - Incorrect:** The appointing bank must control and monitor the arrangement.
- **D - Incorrect:** Deposit insurance administration is unrelated to the BC agency role.

Examiner trap 13: Agent access is not a separate banking licence.

MCQ 14

Which statutory provision is central to licensing a banking company?

- A. Section 42 of the RBI Act alone
- B. Section 22 of the Banking Regulation Act, 1949
- C. Section 3 of the DICGC Act
- D. Section 45-IA of the RBI Act for every bank

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Section 42 concerns scheduled-bank reserves and schedule status, not the whole licensing power.
- **B - Correct:** Section 22 places banking-company entry within RBI's licensing power.
- **C - Incorrect:** That provision establishes the deposit insurer rather than granting bank licences.
- **D - Incorrect:** Section 45-IA governs NBFC registration, not commercial-bank licensing.

Examiner trap 14: Do not confuse a bank licence, scheduled status and NBFC registration.

MCQ 15

Which institutions are excluded from the revised SCB PCA framework effective 1 January 2022?

- A. Foreign bank branches and subsidiaries
- B. All private-sector banks
- C. Small Finance Banks, Payments Banks and Regional Rural Banks
- D. All non-scheduled commercial banks only

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The framework states that banks operating in India include foreign branches and subsidiaries.
- **B - Incorrect:** Private ownership does not create a general PCA exemption.
- **C - Correct:** The RBI circular's addressee line expressly identifies these three exclusions.
- **D - Incorrect:** The cited framework is for scheduled commercial banks and names different exclusions.

Examiner trap 15: Apply a PCA framework only to the entity class named in the direction.

MCQ 16

Which statement correctly distinguishes PCA from resolution?

- A. PCA automatically pays every depositor Rs 5 lakh
- B. PCA transfers ownership to RBI immediately
- C. Resolution is merely a higher CRAR threshold
- D. PCA imposes early corrective restrictions; resolution restructures or winds down a failing institution

Answer: D.

Option-specific explanations:

- **A - Incorrect:** DICGC, not PCA, administers insured-deposit protection.
- **B - Incorrect:** Corrective supervision does not itself nationalise the bank.
- **C - Incorrect:** Resolution concerns institutional continuity and loss allocation, not a prudential ratio.
- **D - Correct:** PCA seeks recovery before disorderly failure while resolution handles non-viability.

Examiner trap 16: Prevention, liquidity support, resolution and insurance are four different tools.

MCQ 17

How are multiple accounts of one depositor in different branches of the same bank treated for DICGC cover?

- A. They are aggregated when held in the same right and capacity
- B. Each branch automatically receives a separate Rs 5 lakh cover
- C. Only the oldest account is insured
- D. Savings accounts are insured but fixed deposits are excluded

Answer: A.

Option-specific explanations:

- **A - Correct:** DICGC applies the same-right-and-capacity rule across the insured bank.
- **B - Incorrect:** Branch location does not split the bank-wise insurance unit.
- **C - Incorrect:** Eligible balances are aggregated rather than selected by age.
- **D - Incorrect:** Eligible savings, current, fixed and recurring deposits are covered subject to exceptions.

Examiner trap 17: The unit is not account-by-account or branch-by-branch.

MCQ 18

Which claim is outside DICGC deposit insurance?

- A. A savings deposit in an insured commercial bank
- B. A debenture issued by an NBFC
- C. A fixed deposit in an insured RRB
- D. A current account in an insured Local Area Bank

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Savings deposits are eligible bank deposits within the statutory ceiling.
- **B - Correct:** DICGC protects eligible bank deposits, not market securities or ordinary NBFC liabilities.
- **C - Incorrect:** RRBs are insured banks under the scheme.
- **D - Incorrect:** Eligible current deposits in covered banks fall within deposit insurance.

Examiner trap 18: Regulation by RBI does not itself create deposit insurance.

MCQ 19

Under RBI's NBFC principal-business test, which combination is required?

- A. Either financial assets or income exceeding 25%
- B. All assets and all income must be financial
- C. Financial assets over 50% of total assets and financial income over 50% of gross income
- D. Only a company name containing finance

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Both limbs of the 50-50 test are required.
- **B - Incorrect:** The test identifies predominance, not exclusivity.
- **C - Correct:** RBI's FAQ updated 29 April 2026 states the two cumulative tests.
- **D - Incorrect:** Branding does not establish principal business.

Examiner trap 19: Apply both 50 per cent limbs, not either one.

MCQ 20

Which feature ordinarily separates an NBFC from a bank?

- A. An NBFC cannot make loans
- B. An NBFC cannot borrow from banks or markets
- C. An NBFC is never supervised by RBI
- D. An NBFC cannot accept demand deposits or issue cheques drawn on itself

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Lending is a central NBFC activity.
- **B - Incorrect:** Non-deposit-taking entities can still use wholesale and institutional funding.
- **C - Incorrect:** RBI registers and supervises NBFCs within its statutory perimeter.
- **D - Correct:** Demand-deposit and payment-system powers define the sharper boundary.

Examiner trap 20: Do not call an NBFC a bank merely because both extend credit.

MCQ 21

Which statement correctly distinguishes NBFC-D from NBFC-ND?

- A. NBFC-D has specific permission to accept public deposits; NBFC-ND does not
- B. NBFC-ND has no liabilities to outside parties
- C. NBFC-D deposits receive DICGC insurance
- D. Every registered NBFC may choose either status daily

Answer: A.

Option-specific explanations:

- **A - Correct:** The suffix describes public-deposit permission, not the whole funding structure.
- **B - Incorrect:** It may borrow from banks, markets or group entities.
- **C - Incorrect:** DICGC does not insure deposits accepted by NBFCs.
- **D - Incorrect:** Deposit-taking requires the applicable authorisation and compliance.

Examiner trap 21: Public funds are broader than public deposits.

MCQ 22

Which entity belongs to the SBR Base Layer by activity regardless of ordinary size classification?

- A. Every deposit-taking NBFC
- B. NBFC-Account Aggregator
- C. Every Housing Finance Company
- D. Every Core Investment Company

Answer: B.

Option-specific explanations:

- **A - Incorrect:** All NBFC-D are placed in Middle Layer unless escalated.
- **B - Correct:** The 2025 SBR Directions specifically keep Account Aggregators in Base Layer.
- **C - Incorrect:** HFCs are specified for Middle Layer unless in Upper Layer.
- **D - Incorrect:** CICs are Middle or Upper Layer under the current framework.

Examiner trap 22: Activity-based placement can override a simple size shortcut.

MCQ 23

Which NBFC is necessarily placed in Middle Layer under the cited SBR directions unless in Upper Layer?

- A. Every non-deposit-taking NBFC below Rs 1,000 crore
- B. Every NBFC-P2P platform
- C. A deposit-taking NBFC of any asset size
- D. Every Type-I NBFC without public funds or customer interface

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That is the ordinary Base-Layer size rule.
- **B - Incorrect:** P2P platforms remain in Base Layer by activity.
- **C - Correct:** Deposit-taking status itself places the entity in Middle Layer.
- **D - Incorrect:** Type-I NBFCs are specified for Base Layer.

Examiner trap 23: Size is not the only SBR determinant.

MCQ 24

What changed for NBFC Upper Layer identification on 24 June 2026?

- A. All NBFCs above Rs 1,000 crore automatically became Upper Layer
- B. Upper Layer was abolished and merged into Top Layer
- C. Every government NBFC was permanently exempt from SBR
- D. The framework specified an audited asset-size threshold of Rs 1,00,000 crore and above

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Rs 1,000 crore is the ordinary Middle-Layer threshold for non-deposit takers.
- **B - Incorrect:** The four-layer structure continues.
- **C - Incorrect:** Government NBFCs remain within the framework subject to current directions.
- **D - Correct:** The Second Amendment replaced the prior identification method with the stated size threshold.

Examiner trap 24: Attach the June 2026 date because the Upper-Layer rule changed.

MCQ 25

Which pair states the CIC asset-composition tests?

- A. At least 90% in group-company exposures and at least 60% in qualifying group equity/InvIT sponsor units
- B. At least 60% housing finance and 50% individual housing
- C. At least 75% microfinance assets and 25% deposits
- D. At least 50% factoring assets and 50% factoring income

Answer: A.

Option-specific explanations:

- **A - Correct:** The CIC thresholds bind the entity to group-holding activity.
- **B - Incorrect:** Those percentages identify an HFC.
- **C - Incorrect:** The 75 per cent test belongs to NBFC-MFI and the deposit claim is wrong.
- **D - Incorrect:** That 50-50 pair identifies an NBFC-Factor.

Examiner trap 25: Keep net-asset composition separate from ordinary company shareholding.

MCQ 26

Which pair identifies an HFC under the current RBI description?

- A. 90% group-company assets and 60% group equity
- B. At least 60% of assets in housing finance and at least 50% of total assets in individual housing finance
- C. 75% microfinance assets and household income below Rs 3 lakh
- D. 50% factoring assets and 50% factoring income

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Those are CIC tests.
- **B - Correct:** The 60/50 structure preserves both housing focus and individual-housing depth.
- **C - Incorrect:** Those conditions concern NBFC-MFI and microfinance loans.
- **D - Incorrect:** Those conditions identify an NBFC-Factor.

Examiner trap 26: Do not call every mortgage lender an HFC without the principal-business tests.

MCQ 27

Which statement accurately describes an NBFC-MFI under the cited April 2026 RBI FAQ?

- A. It is a Payments Bank limited to Rs 2 lakh deposits
- B. It may secure every microloan by a lien on the borrower's deposit
- C. At least 75% of assets are microfinance loans, which are collateral-free loans to households with annual income up to Rs 3 lakh
- D. It must hold 90% of assets in group-company securities

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Microfinance institution and Payments Bank are different categories.
- **B - Incorrect:** The collateral-free rule bars linking the loan to such a lien.
- **C - Correct:** Both the institution-level 75 per cent test and loan-level income/collateral test are required.
- **D - Incorrect:** That is the CIC concentration test.

Examiner trap 27: Do not confuse an NBFC-MFI with the wider category of all microfinance lenders.

MCQ 28

What is the principal-business test for an NBFC-Factor?

- A. At least 60% of assets in housing finance
- B. At least 75% of assets in collateral-free household loans
- C. At least 90% of net assets in group companies
- D. At least 50% of total assets and 50% of gross income from factoring

Answer: D.

Option-specific explanations:

- **A - Incorrect:** That is part of the HFC definition.
- **B - Incorrect:** That is the NBFC-MFI asset test.
- **C - Incorrect:** That is the CIC test.
- **D - Correct:** The two 50 per cent tests tie both balance sheet and earnings to receivables finance.

Examiner trap 28: Factoring is receivables finance, not a generic loan label.

MCQ 29

Which activity is prohibited for an NBFC-P2P under the 2025 Directions?

- A. Lending from its own balance sheet or guaranteeing participant loans
- B. Providing an online marketplace for participants
- C. Assessing participant eligibility under board-approved policy
- D. Routing prescribed fund flows through escrow arrangements

Answer: A.

Option-specific explanations:

- **A - Correct:** The platform must remain an intermediary and cannot assume credit risk.
- **B - Incorrect:** Loan facilitation is the platform's permitted core function.
- **C - Incorrect:** Eligibility and matching rules form part of platform governance.
- **D - Incorrect:** Escrow separates participant money from the platform's own balance sheet.

Examiner trap 29: No guarantee means lenders bear the credit loss; registration is not assurance of return.

MCQ 30

Which statement best defines an NBFC-Account Aggregator?

- A. A deposit wallet insured by DICGC
- B. A consent-based financial-information intermediary that neither lends nor executes asset transactions
- C. A P2P lender that sets guaranteed returns
- D. A credit bureau that owns every customer's raw financial data

Answer: B.

Option-specific explanations:

- **A - Incorrect:** An AA cannot accept deposits and is outside bank-deposit insurance.
- **B - Correct:** AA regulation creates a neutral information rail governed by explicit customer consent.
- **C - Incorrect:** AA activity concerns data, not loan matching or guarantees.
- **D - Incorrect:** Customer financial information does not become the AA's property.

Examiner trap 30: Information transfer, payment transfer and credit intermediation are different functions.

MCQ 31

Which chain best explains NBFC systemic risk?

- A. Demand deposits -> cheque clearing -> DICGC payout in every case
- B. Higher equity -> lower leverage -> automatic contagion
- C. Short-term wholesale funding -> long assets -> rollover shock -> fire sales and interconnected losses
- D. Long-term funding -> liquid assets -> no confidence effect

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Ordinary NBFCs lack bank demand deposits and DICGC cover.
- **B - Incorrect:** More loss-absorbing equity normally reduces, rather than mechanically creates, fragility.
- **C - Correct:** The chain captures asset-liability mismatch and network propagation.
- **D - Incorrect:** This configuration does not describe the classic maturity-mismatch channel.

Examiner trap 31: Non-bank does not mean non-systemic.

MCQ 32

Which statement best separates NABARD, SIDBI and NaBFID?

- A. All three are Payments Banks
- B. All three insure deposits
- C. All three are ordinary NBFC-Factors
- D. They have distinct rural, MSME and infrastructure development-finance mandates

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Their statutory development mandates are not narrow payment licences.
- **B - Incorrect:** DICGC, not these DFIs, is the statutory deposit insurer.
- **C - Incorrect:** Their legal creation and sector mandates differ from receivables-finance companies.
- **D - Correct:** Institutional purpose, funding horizon and target sector distinguish the three DFIs.

Examiner trap 32: Government connection does not make development institutions interchangeable.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ ROUTES AND OFFICIAL-KEY DISCIPLINE

The repository routes thirteen objective demands to Topic 5. Exact wording is reproduced for the locally legible 2024 questions. The final official 2024 Set-A key is used exactly; Question 52 was dropped. The locally held 2026 key is provisional, so the required withholding sentence is used. No official descriptive model answer exists.

PYQ 1 - UPSC Prelims 2024, GS Paper I, Set A, Question 42

Consider the following statements:

1. In India, Non-Banking Financial Companies can access the Liquidity Adjustment Facility window of the Reserve Bank of India.
2. In India, Foreign Institutional Investors can hold Government Securities.
3. In India, Stock Exchanges can offer separate trading platforms for debts.

Which of the statements given above is/are correct?

- A. 1 and 2 only
- B. 3 only
- C. 1, 2 and 3
- D. 2 and 3 only

Official Set-A key: C.

Solution: The official key treats all three statements as correct. The exam lesson is to avoid converting a general institutional label into an absolute access rule: specified non-bank institutions and market arrangements can receive permissions that ordinary NBFCs do not automatically enjoy. Government securities can be held by eligible foreign portfolio investors under prescribed routes, and exchanges can provide debt segments.

Examiner caution: Follow the official key for this question; do not rewrite the unqualified first statement as a timeless rule that every NBFC has routine LAF access.

PYQ 2 - UPSC Prelims 2024, GS Paper I, Set A, Question 49

With reference to the rule/rules imposed by the Reserve Bank of India while treating foreign banks, consider the following statements:

1. There is no minimum capital requirement for wholly owned banking subsidiaries in India.
2. For wholly owned banking subsidiaries in India, at least 50% of the board members should be Indian nationals.

Which of the statements given above is/are correct?

- A. 1 only
- B. 2 only
- C. Both 1 and 2
- D. Neither 1 nor 2

Official Set-A key: D.

Solution: Statement 1 is false because the WOS route carries a minimum local capital requirement. Statement 2 is also false in the exact wording tested: the applicable governance formulation was more qualified than a bare rule that at least half must be Indian nationals. The current 2025 WOS guidelines must be read separately and dated rather than projected backward into the 2024 item.

Examiner caution: Foreign-bank branch and WOS conditions are model- and vintage-specific.

PYQ 3 - UPSC Prelims 2024, GS Paper I, Set A, Question 52

Statement-I: Syndicated lending spreads the risk of borrower default across multiple lenders.

Statement-II: The syndicated loan can be a fixed amount/lump sum of funds, but cannot be a credit line.

Official Set-A key: Dropped question.

Concept solution: Statement-I describes a central reason for syndication. Statement-II is overbroad because syndicated facilities can be structured in more than one form, including revolving or credit-line arrangements. Since UPSC dropped the item, no answer letter is supplied.

2026 ROUTED DEMANDS

PYQ 4 - UPSC Prelims 2026, GS Paper I, Question 91

Verified demand: RBI Financial Inclusion Index and its Access, Usage and Quality sub-indices.

Answer withheld pending official UPSC key.

Concept route: The FI-Index is multidimensional; branch or account count alone cannot represent usage or service quality.

PYQ 5 - UPSC Prelims 2026, GS Paper I, Question 96

Verified demand: Aviation hull insurance and airline liability under the Montreal Convention.

Answer withheld pending official UPSC key.

Boundary route: Hull insurance covers the aircraft asset; passenger-liability rules arise from a separate legal framework. Detailed aviation law is not re-owned by this banking topic.

PYQ 6 - UPSC Prelims 2026, GS Paper I, Question 99

Verified demand: NBFC demand deposits, RBI registration, bank partnerships for cards/payment services and DICGC insurance.

Answer withheld pending official UPSC key.

Concept route: Ordinary NBFCs cannot accept demand deposits, RBI registration does not create bank status, partnerships do not confer direct payment-system membership, and DICGC does not insure NBFC deposits.

HISTORICAL ROUTED OBJECTIVE DEMANDS

PYQ	Verified demand	Key discipline and answer route
2018 Q96	PSB governance, capital infusion and SBI associate-bank merger	Answer withheld pending official UPSC key. Separate owner capital, statutory governance and merger facts.
2019 Q61	Service Area Approach under the Lead Bank Scheme	Answer withheld pending official UPSC key. Treat it as place-based credit planning, not a bank category.
2019 Q64	Commercial-bank assets	Answer withheld pending official UPSC key. Loans, investments, cash and balances are assets; deposits are liabilities.
2019 Q73	Selection of public-sector bank chairmen	Answer withheld pending official UPSC key. Separate Government appointment, board process and RBI regulation.
2020 Q50	Cash withdrawal from a demand deposit and money supply	Answer withheld pending official UPSC key. It changes currency/deposit composition, not automatically total money.
2021 Q5	Urban Co-operative Banks	Answer withheld pending official UPSC key. Use the banking-law and co-operative-law dual perimeter.
2022 Q64	Banks Board Bureau and public-sector appointments	Answer withheld pending official UPSC key. Preserve the body's executive/advisory status and subsequent institutional evolution.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish a bank from an ordinary NBFC by tracing liabilities, payments, credit creation and safety nets. Answer in 150 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 142 alphanumeric words.

Model answer

A bank accepts public deposits for lending or investment and provides withdrawal facilities under section 5(b) of the Banking Regulation Act. Deposits are liabilities; loans and investments are assets. A bank loan normally creates a deposit, combining credit intermediation with money creation and settlement.

An NBFC may lend, invest, lease or finance specialised assets, but RBI's FAQ updated 29 April 2026 states that ordinary NBFCs cannot accept demand deposits, do not form part of the payment and settlement system and cannot issue cheques drawn on themselves. DICGC insurance is unavailable even for deposits accepted by an authorised NBFC-D.

Both allocate credit, yet their failure channels differ: banks face runnable insured deposits and payment disruption; NBFCs often face wholesale rollover and market contagion. Narrow banks and systemically important NBFCs receive differentiated rules, so legal powers and actual risk must both be examined.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain how PCA, bank resolution and DICGC perform different roles in depositor protection. Answer in 150 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 142 alphanumeric words.

Model answer

Prompt Corrective Action is preventive supervision. RBI's revised framework, effective 1 January 2022 for covered scheduled commercial banks, monitors capital, net NPA and leverage breaches and can restrict dividends, expansion, risk-taking or expenditure while requiring repair.

Resolution begins when ordinary correction is inadequate. Under banking law, reconstruction, amalgamation, moratorium or liquidation can preserve critical functions and allocate losses. It is not the same as temporary central-bank liquidity, which addresses a payment-timing problem rather than missing capital.

DICGC is the depositor backstop. Since 4 February 2020 it insures eligible principal and interest up to Rs 5 lakh per depositor per bank, aggregating accounts across branches in the same right and capacity.

These layers reduce panic but do not guarantee shareholders, bonds or NBFC deposits. A sound framework therefore sequences supervision, corrective action, orderly resolution and limited insurance while retaining owner and management accountability.

ORIGINAL MAINS 3 - 15 MARKS

Question: Analyse how India's differentiated banks and rural institutions combine inclusion with prudential limits. Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 221 alphanumeric words.

Model answer

India uses institutional diversity to address geography, ticket size and payment-access gaps. Regional Rural Banks combine a rural mandate with 50:35:15 ownership among the Union, sponsor bank and State. Co-operative banks add member ownership and local information, while their banking functions remain under RBI and their co-operative identity under the relevant registrar.

Local Area Banks restrict operations geographically. Small Finance Banks accept deposits and lend to smaller clients; RBI reduced their overall priority-sector target to 60 per cent of ANBC or CEOBE from FY 2025-26, while the Licensing Guidelines dated 28 November 2025 require at least half their loan portfolio to comprise advances up to Rs 25 lakh. Payments Banks accept demand deposits and provide payments but cannot lend from their own balance sheets; directions updated 1 April 2026 cap an individual's end-day balance at Rs 2 lakh.

Business Correspondents extend the principal bank's last-mile interface, while priority-sector rules influence portfolio allocation. These arrangements lower distance, documentation and transaction-cost barriers and can build formal repayment histories.

However, narrow mandates create viability risks, local concentration can magnify shocks, and target compliance may not ensure suitable or productive credit. RBI must therefore combine proportional prudential rules, bank responsibility for agents, consumer protection and credible supervision. Inclusion should be judged by sustained usage and welfare, not licences, outlets or account openings alone.

ORIGINAL MAINS 4 - 15 MARKS

Question: Why can NBFC stress become systemic? Evaluate the scale-based regulatory response. Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 215 alphanumeric words.

Model answer

NBFCs complement banks through vehicle, housing, infrastructure, consumer and last-mile credit, but many fund long or illiquid assets with bank borrowing, debentures or short-term market paper. A confidence shock can stop rollover, force asset sales, depress prices and transmit losses to mutual funds, banks, bond investors and borrowers. IL&FS in 2018 and DHFL stress demonstrated this wholesale-run channel.

RBI's Scale Based Regulation addresses heterogeneity through four layers. Directions updated 1 July 2026 place ordinary non-deposit-taking NBFCs below Rs 1,000 crore in Base Layer, while all deposit-taking NBFCs, larger non-deposit takers and specified activities occupy Middle Layer. The 24 June 2026 amendment sets Rs 1,00,000 crore of audited assets as the Upper-Layer threshold. Top Layer is intended for exceptional escalation.

The architecture is sensible because governance, capital, liquidity, disclosure and supervisory intensity increase with systemic footprint. Activity-based placement also prevents a large CIC, HFC or infrastructure financier from escaping stronger rules merely because it is not a bank.

Yet size is an imperfect proxy. Common lenders, guarantees, securitisation, group exposure, cyber dependence and correlated assets can make smaller entities important. Effective regulation therefore needs ALM surveillance, stress tests, consolidated group supervision and conduct rules alongside layer thresholds. Proportionality should preserve specialised finance without permitting equivalent risk to migrate to the lightest wrapper.

ORIGINAL MAINS 5 - 20 MARKS

Question: Design a regulatory architecture that separates ownership, management, prudential supervision, consumer protection and resolution in Indian banking. Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 216 alphanumeric words.

Model answer

Banking governance should begin by assigning each function to the correct actor. Owners provide capital, appoint through the applicable statutory process and bear residual risk; they should not direct individual loans. Boards set strategy, risk appetite and controls. Management underwrites, monitors and recovers credit. RBI licenses under section 22 of the Banking Regulation Act, sets prudential and conduct rules, inspects and enforces. DICGC insures eligible deposits; it neither manages nor supervises banks.

The architecture needs five safeguards. First, fit-and-proper assessment, conflict disclosure, recusal and section 20 connected-lending restrictions should prevent promoter or director capture. Second, capital, liquidity, concentration and provisioning rules should match balance-sheet risk. Third, risk-based supervision and PCA should intervene before losses become unmanageable. Fourth, RBI's Digital Lending Directions dated 8 May 2025 should keep the regulated entity responsible for its app or lending-service provider, with KFS, APR disclosure, direct fund flows and need-based consent. Fifth, reconstruction, amalgamation or liquidation should preserve critical functions and allocate losses, while DICGC protects eligible deposits up to the dated statutory ceiling.

Public ownership, private incentives and co-operative membership create different governance problems, but none replaces regulation. Conversely, regulatory intensity should remain proportionate to risk. The objective is a credible chain from entry to exit that protects depositors and borrowers without guaranteeing shareholders, connected borrowers or inefficient management.

ORIGINAL MAINS 6 - 20 MARKS

Question: Compare development financial institutions with banks and NBFCs. How should India use NABARD, SIDBI and NaBFID without weakening credit discipline? Answer in 250 words.

Demand decoding

Define the institutional boundary, use named legal or regulatory evidence, trace the causal mechanism, and end with a qualification that answers the directive.

Answer plan and validation

- **Plan:** concept -> institution/rule -> mechanism -> trade-off -> qualified verdict.
- **Validated native-body count:** 229 alphanumeric words.

Model answer

Banks transform deposits into credit and provide payments; NBFCs specialise in financial intermediation without ordinary bank demand-deposit and settlement powers. Development financial institutions add a purposive mandate: they supply patient finance, refinance, appraisal capacity and market development where long tenor, externalities or coordination failures deter normal lenders.

NABARD, created under Act 61 of 1981 and established in 1982, is the apex development bank for agriculture and rural development. It refinances, develops and supports supervision in the rural credit system. SIDBI, established on 2

April 1990, is the principal financial institution for MSME promotion, financing and development, using direct finance and refinance. The NaBFID Act came into force on 19 April 2021 to create a specialised infrastructure DFI; RBI has regulated and supervised it as an AIFI since its 8 March 2022 advice, and it began commercial operations on 29 December 2022.

These institutions can correct maturity gaps, pool sector expertise, crowd in investors and build bond or refinancing markets. They should not become channels for off-budget direction or evergreening. Governance must protect professional appraisal, price risk transparently, disclose contingent fiscal support and evaluate additionality: whether the project or borrower gained finance that markets would not provide on reasonable terms.

India therefore needs DFIs as catalysts, not substitutes for viable projects, competitive banks or disciplined capital markets. Mandate, funding horizon, risk allocation and measurable development outcome should govern their use.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

1. Liquidity insurance, moral hazard and loss allocation

A safety net should protect system functions without erasing private loss. Central-bank liquidity can prevent inefficient fire sales by a solvent institution; owner capital or resolution must address insolvency. Deposit insurance protects eligible depositors, not shareholders or managers. If every creditor expects rescue, funding becomes artificially cheap and risk migrates to the public balance sheet. The design problem is therefore to combine ex ante supervision, credible intervention and predictable hierarchy of claims.

2. Functional regulation and entity regulation

Entity regulation is efficient because one supervisor can understand the whole balance sheet. Functional regulation is necessary when the same economic service - lending, payments, distribution or data intermediation - appears across banks, NBFCs and technology firms. A durable architecture uses both: the home regulator assesses consolidated solvency and governance, while activity rules equalise conduct and consumer safeguards for equivalent services.

3. Macroprudential network lens

Microprudential supervision asks whether one institution can absorb loss. Macroprudential supervision asks whether common exposures, correlated funding and fire-sale behaviour amplify system-wide distress. Useful indicators include maturity gaps, leverage, concentration, common lenders, market-finance dependence, intra-group guarantees and substitutability of critical services. SBR is a proportional entity ladder; it still needs network and activity analysis.

4. Resolution trilemma

Authorities seek continuity of critical functions, minimum taxpayer cost and preservation of creditor discipline. Achieving all three is difficult when losses are large, legal claims are complex or a bank is systemically important. Purchase-and-assumption, amalgamation, bridge arrangements, bail-in-type loss allocation or liquidation have different legal and distributional consequences. For UPSC, identify the applicable Indian statute and avoid importing a foreign mechanism as if already enacted.

5. DFI additionality test

A DFI adds value when it lengthens tenor, develops appraisal capability, crowds in capital or finances positive externalities that commercial lenders cannot price. It destroys value when cheap funding masks weak projects, political direction replaces appraisal, or refinancing merely transfers existing risk. Evaluate NABARD, SIDBI and NaBFID through additionality, mobilisation, portfolio quality, governance and measurable development outcomes.

CONSOLIDATED REGISTER NOTES

1. Banking core and balance sheet

- Banking Regulation Act, 1949, section 5(b): accept public deposits for lending/investment, repayable on demand or otherwise, withdrawable by cheque, draft, order or otherwise.
- Bank assets: cash, RBI/inter-bank balances, investments, loans and advances. Bank liabilities: deposits and borrowings; capital is the owner loss-absorbing claim.
- Maturity/liquidity transformation connects short or withdrawable funding to longer assets. Credit creation is constrained by capital, liquidity, risk, demand and regulation.
- Cash withdrawal converts deposit money into currency; it does not by itself create fresh money.

2. Classification and institutional form

- Scheduled bank = included in the Second Schedule to the RBI Act, 1934. Section 42(6) includes the Rs 5 lakh paid-up-capital-plus-reserves statutory floor and depositor-interest test.
- Scheduled/non-scheduled, commercial/co-operative and public/private/foreign are different classification axes.
- Public ownership, board management and RBI regulation are separate.
- RRB ownership under the 1976 Act: Union 50%, sponsor bank 35%, State 15%.
- Co-operative banking retains co-operative-law identity plus RBI banking oversight under BR Act section 56.
- Banking Regulation (Amendment) Act, 2020: stronger RBI powers; effective 29 June 2020 for UCBs and 1 April 2021 for State/District Central Co-operative Banks. It narrowed, not erased, dual control.

3. Differentiated banks and inclusion

Entity	Can accept demand deposits?	Can lend on own balance sheet?	Key boundary
Universal commercial bank	Yes	Yes	Full banking licence subject to RBI rules
Local Area Bank	Yes	Yes	Limited local-geographic model
Small Finance Bank	Yes	Yes	Inclusion portfolio; 60% PSL from FY 2025-26
Payments Bank	Yes	No	Rs 2 lakh end-day balance cap as updated 1 April 2026; no credit cards
Ordinary NBFC	No	Yes	No own cheques/payment-system membership; no DICGC

- SFB Licensing Guidelines dated 28 November 2025: at least 50% of the loan portfolio in advances up to Rs 25 lakh.
- BC is bank's agent; bank remains responsible.
- PSL is a dated RBI portfolio rule, not a constitutional number. Most domestic banks: 40% under direction effective 1 April 2025; SFB: 60% from FY 2025-26.

4. Regulatory lifecycle and safety net

- RBI: licence -> regulation -> reporting/inspection -> supervision -> direction/enforcement -> applicable reconstruction/amalgamation.
- PCA circular 2 November 2021, effective 1 January 2022: covered SCBs; SFBs, Payments Banks and RRBs excluded.
- PCA indicators: CRAR/CET1, NNPA and Tier-1 leverage. NNPA bands: 6 to below 9%, 9 to below 12%, 12% or more.
- PCA is corrective supervision, not liquidation, ownership transfer or DICGC payout.
- DICGC limit effective 4 February 2020: Rs 5 lakh including principal and interest, per depositor per bank, same right and capacity, aggregated across branches.

- DICGC excludes ordinary NBFC deposits, shares, bonds, mutual funds and insurance products.

5. NBFC perimeter and current SBR

- RBI FAQ updated 29 April 2026: NBFC principal business uses cumulative 50-50 test.
- General registration NOF: Rs 10 crore from 1 October 2022; existing transition deadline 31 March 2027; specialised categories have separate floors.
- NBFC-D has specific public-deposit permission; NBFC-ND does not. Public funds are broader than public deposits.
- SBR Directions updated 1 July 2026:
- Base: ND below Rs 1,000 crore, plus P2P, AA, NOFHC and Type-I.
- Middle: every NBFC-D, ND Rs 1,000 crore+, and SPD, IDF-NBFC, CIC, HFC, IFC.
- Upper: Rs 1,00,000 crore+ audited assets under 24 June 2026 amendment.
- Top: expected empty; exceptional escalation.

6. Specialised NBFC decoder

Category	Current dated functional test
CIC	90% net assets in group exposure; 60% in qualifying group equity/InvIT sponsor units; Directions updated 10 March 2026
HFC	At least 60% assets in housing finance; at least 50% total assets in individual housing finance; RBI FAQ updated 29 April 2026
NBFC-MFI	At least 75% assets in microfinance loans; collateral-free household loan with income up to Rs 3 lakh; RBI FAQ updated 29 April 2026
NBFC-Factor	At least 50% assets and 50% gross income from factoring; RBI FAQ updated 29 April 2026
NBFC-P2P	Base-Layer marketplace; no deposits, own lending, guarantee or platform custody of participant funds; Directions dated 28 November 2025
NBFC-AA	Base-Layer consented data intermediary; no lending, deposits or transaction execution; Directions dated 28 November 2025

7. Risk, governance and conduct

- Shadow-banking chain: short wholesale funding -> long illiquid assets -> rollover shock -> fire sale -> bank/fund/market contagion.
- Indian evidence: IL&FS 2018 and DHFL stress. Lesson concerns funding and networks, not every NBFC.
- Connected lending: ownership/control influence weakens appraisal and concentrates loss. Use BR Act section 20, conflict disclosure, recusal and board oversight.
- Fit-and-proper controls address competence, integrity and conflict, but do not replace continuing supervision.
- Digital Lending Directions dated 8 May 2025: RE remains liable for LSP; KFS/APR, direct fund flows, need-based consent and grievance route.

8. Development-finance map

- NABARD: Act 61 of 1981; established 1982; agriculture/rural refinance, development and specified rural supervision.
- SIDBI: established 2 April 1990; principal financial institution for MSME promotion, finance, development and coordination.
- NaBFID: Act effective 19 April 2021; infrastructure DFI; RBI AIFI regulation/supervision advised 8 March 2022; commercial operations 29 December 2022.
- DFI test: mandate + tenor + additionality + mobilisation + appraisal + governance. DFI is not synonymous with bank, NBFC or government ownership.

9. Prelims close-option table

Confused pair	Decisive separator
Scheduled bank / commercial bank	Second Schedule status / business and institutional form
Bank / NBFC	demand deposits, own cheques, payment membership and DICGC
SFB / Payments Bank	own-balance-sheet lending allowed / prohibited
NBFC-D / NBFC-ND	public-deposit permission / no public deposits
DICGC / PCA	insured reimbursement / preventive supervisory restrictions
PCA / resolution	repair while operating / restructuring or exit
BC / bank	agent / licensed principal
AA / P2P	consented information / loan facilitation
Liquidity / solvency	timing of cash / adequacy of net worth
Ownership / regulation	capital-control relationship / statutory oversight

10. Mains regulatory architecture

1. Define the legal entity and liability.
2. State permitted and prohibited functions.
3. Trace funding, asset tenor, leverage and interconnectedness.
4. Separate owner, board, management, RBI, DICGC and sector regulator.
5. Evaluate inclusion, competition, consumer and systemic outcomes.
6. Recommend proportional prudence, equivalent-risk conduct, consolidated supervision and credible resolution.
7. Qualify costs: stronger rules may raise intermediation cost, but weak rules externalise crisis and depositor losses.

11. COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

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ASCII MASTER FLOW - PANEL 1/12: WHY BANKING NEEDS SPECIAL REGULATION
+------------------------------------------------------------------------------+
| Public deposits -> payment promise -> loans/investments -> growth             |
|        |                 |                    |                               |
|        v                 v                    v                               |
| runnable liability   settlement risk    credit + market risk                 |
|                                                                              |
| Balance sheet: deposits/borrowings/capital = liabilities and funding         |
|                cash/RBI balances/loans/investments = assets                  |
|                                                                              |
| Transformation: short/withdrawable funding -> longer, illiquid, risky assets |
| Constraint: capital + liquidity + underwriting + demand + regulation         |
+------------------------------------------------------------------------------+

ASCII MASTER FLOW - PANEL 2/12: LEGAL CLASSIFICATION BEFORE OWNERSHIP
+------------------------------------------------------------------------------+
| Banking Regulation Act 1949 s.5(b): public deposits for lending/investment,  |
| repayable on demand or otherwise and withdrawable by cheque/draft/order/etc. |
|                                |                                             |
| RBI Act 1934 Second Schedule <---+---> scheduled bank                        |
| s.42(6): Rs 5 lakh capital+reserves floor; depositor-interest test           |
| Not in Schedule = non-scheduled bank, not an unlicensed or unregulated entity |
|                                                                              |
| Separate axes: scheduled/non-scheduled | commercial/co-operative | ownership  |
+------------------------------------------------------------------------------+

ASCII MASTER FLOW - PANEL 3/12: COMMERCIAL AND RURAL BANK MAP
+------------------------------------------------------------------------------+
| COMMERCIAL: PSB | private Indian bank | foreign branch / local WOS            |
| Common: RBI licence and prudential supervision; different owner/governance law |
|                                                                              |
| RRB Act 1976: 50:35:15 = Union 50% + sponsor bank 35% + State 15%            |
| -> local rural deposits and credit -> RBI banking regulation + NABARD role   |
|                                                                              |
| Ownership supplies capital; board oversees; management lends; RBI supervises |
| Trap: public ownership is not prudential regulation or sound management      |
+------------------------------------------------------------------------------+

ASCII MASTER FLOW - PANEL 4/12: CO-OPERATIVE BANKING AND 2020 AMENDMENT
+------------------------------------------------------------------------------+
| Co-operative form: State law / Multi-State law -> members, elections, bye-laws |
| Banking function: BR Act s.56 -> RBI licence, prudence, supervision, resolution |
|                                                                              |
| Banking Regulation (Amendment) Act 2020                                      |
| UCB provisions effective 29 Jun 2020; StCB/DCCB provisions 1 Apr 2021        |
| -> stronger RBI governance, capital and reconstruction powers               |
| -> registrar functions survive: recalibrated dual control, not total abolition |
| PACS are not automatically banks or DICGC-insured institutions               |
+------------------------------------------------------------------------------+

ASCII MASTER FLOW - PANEL 5/12: DIFFERENTIATED BANKS
+------------------------------------------------------------------------------+
| LAB: local deposits + local credit within a limited geographic model         |
|                                                                              |
| SFB: deposits + lending                                                      |
| -> PSL overall 60% of ANBC/CEOBE from FY 2025-26 (RBI, 20 Jun 2025)          |
| -> >=50% loan portfolio up to Rs 25 lakh: Licensing Guidelines 28-11-2025   |
|                                                                              |
| Payments Bank: current/savings deposits + payments/remittances               |
| -> max Rs 2 lakh per customer end-day (Directions updated 1 Apr 2026)        |
| -> no own-balance-sheet lending; no credit cards                             |
+------------------------------------------------------------------------------+

ASCII MASTER FLOW - PANEL 6/12: INCLUSION DELIVERY
+------------------------------------------------------------------------------+
| Bank -> appoints and remains responsible for Business Correspondent          |
| BC -> last-mile cash/account/remittance interface; agent, not deposit principal |
|                                                                              |
| Priority Sector Lending -> portfolio allocation to notified sectors          |
| Most domestic banks: 40% overall under direction effective 1 Apr 2025        |
| SFB: 60% overall from FY 2025-26; ratio is regulatory, not constitutional    |
|                                                                              |
| Access -> usage -> suitable credit -> income/repayment -> durable inclusion   |
| Trap: account/target completion alone does not prove welfare outcome         |
+------------------------------------------------------------------------------+
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ASCII MASTER FLOW - PANEL 7/12: REGULATORY LIFECYCLE AND PCA

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+----------------------------------------------------------------------------------+
| Entry: BR Act s.22 licence -> prudential/conduct rules -> reporting/inspection   |
| -> enforcement -> reconstruction/amalgamation under applicable banking law       |
|                                                                                  |
| PCA circular 2 Nov 2021; effective 1 Jan 2022 for covered SCBs                   |
| monitors CRAR/CET1 | NNPA 6/9/12% bands | Tier-1 leverage                       |
| actions: dividends/capital -> branches -> capex + discretionary risk controls    |
| exit: four continuous clean quarters incl. one audited + RBI comfort             |
| PCA != resolution != DICGC payout                                                |
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ASCII MASTER FLOW - PANEL 8/12: DICGC SAFETY-NET BOUNDARY

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+----------------------------------------------------------------------------------+
| DICGC Act 1961 -> statutory deposit insurer; wholly owned RBI subsidiary         |
| Limit effective 4 Feb 2020: Rs 5 lakh, principal + interest                      |
| Unit: per depositor per bank, same right and same capacity, all branches         |
| Different banks -> separate bank-wise cover; distinct legal capacity may differ |
| Covered: eligible bank deposits in insured commercial/RRB/LAB/co-op banks        |
| Excluded: NBFC deposits, securities, mutual funds, insurance products            |
| Safety chain: supervision -> PCA -> resolution -> insured reimbursement          |
+----------------------------------------------------------------------------------+
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ASCII MASTER FLOW - PANEL 9/12: NBFC IDENTITY AND LIABILITY AXIS

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+----------------------------------------------------------------------------------+
| RBI FAQ updated 29 Apr 2026: principal business = 50-50 test                     |
| financial assets >50% total assets AND financial income >50% gross income        |
| General registration NOF Rs 10 crore from 1 Oct 2022; transition 31 Mar 2027     |
|                                                                                  |
| NBFC-D: specifically authorised public deposits | no DICGC                       |
| NBFC-ND: no public deposits | may use banks, CP, debentures, group funding       |
| Ordinary NBFC: no demand deposits, own cheques or payment-system membership      |
| Credit claims may expand; bank-deposit money creation remains distinct           |
+----------------------------------------------------------------------------------+
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ASCII MASTER FLOW - PANEL 10/12: SCALE-BASED REGULATION

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+----------------------------------------------------------------------------------+
| RBI SBR Directions 2025, updated 1 Jul 2026                                     |
| BASE: ND below Rs 1,000 cr + P2P + AA + NOFHC + Type-I                          |
| MIDDLE: all NBFC-D + ND Rs 1,000 cr+ + SPD/IDF/CIC/HFC/IFC                      |
| UPPER: audited assets Rs 1,00,000 cr+ (Second Amendment, 24 Jun 2026)            |
| TOP: expected empty; exceptional severe-risk escalation                          |
|                                                                                  |
| Logic: size + activity + perceived risk -> stronger governance/prudence          |
| Trap: size alone does not place every specialised NBFC                           |
+----------------------------------------------------------------------------------+
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ASCII MASTER FLOW - PANEL 11/12: SPECIALISED NBFC AND SYSTEMIC-RISK MAP

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+----------------------------------------------------------------------------------+
| CIC 90/60 group exposure | HFC 60/50 housing | MFI 75%, income <=Rs 3 lakh       |
| Factor 50/50 assets/income | P2P no own lending/guarantee | AA data-only consent |
|                                                                                  |
| Wholesale short funding -> long assets -> rollover shock -> fire sale            |
| -> mutual funds + banks + bond market + borrowers -> systemic contagion          |
| Named evidence: IL&FS 2018 and DHFL stress                                       |
| Response: ALM + liquidity + concentration + group supervision + conduct rules    |
| Trap: shadow banking is non-bank intermediation, not necessarily illegal finance |
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ASCII MASTER FLOW - PANEL 12/12: DFI MAP AND MAINS ANSWER SPINE

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| NABARD (1982): agriculture/rural refinance, development and rural supervision    |
| SIDBI (2 Apr 1990): principal MSME promotion, finance and development body       |
| NaBFID Act effective 19 Apr 2021: infrastructure DFI; RBI AIFI oversight 2022    |
|                                                                                  |
| ANSWER: classify entity -> map liabilities/assets -> trace mismatch/contagion    |
| -> assign owner/board/management/regulator/DICGC -> test inclusion and conduct   |
| -> choose proportional prudence + consolidated supervision + credible exit       |
|                                                                                  |
| Verdict: preserve diversity; regulate equivalent risk equivalently               |
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